Loudoun County
VIRGINIA

Board of Supervisors
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July 1, 2026

Dear Residents of Loudoun County:

On behalf of the Loudoun County Board of Supervisors, I am pleased to present the Adopted Budget for Fiscal Year (FY) 2027. I thank the staff and my fellow Board members for the effort in putting together the FY 2027 budget, which balances the needs of the County with sound fiscal management. The budget includes information on how the County will spend resources to provide County Government services and School Division services and to pay for debt service requirements on County and Loudoun County Public Schools (LCPS) capital projects for the next year.

The public process for developing the budget began in July 2025. On February 11, 2026, the County Administrator presented the FY 2027 Proposed Budget to the Board of Supervisors. The Board invited residents to express their views, concerns, and opinions at three public meetings held in February. In addition, the Board welcomed public input via phone calls and emails throughout the entire budget process. On April 7, 2026, the Board adopted the FY 2027 Budget with a vote of 8-0-1. The budget is balanced with a real property tax rate of $0.805 per $100 in assessed value, which is consistent with the current rate. The budget also includes a vehicle personal property tax rate reduction to $3.09 per $100 in assessed value for tax year 2026 and a planned further reduction of the personal property tax rate to $2.94 per $100 in assessed value for tax year 2027. Due to an increase in home values, the average homeowner's tax will increase by $141 in tax year 2026; however, this increase will be more than offset for the average homeowner who owns vehicles by a reduction to the vehicle personal property tax rate. For example, the personal property tax bill for the owner of a vehicle with an assessed value of $30,000 will be reduced by $352 in tax year 2026 based on the personal property tax rate.

Sustaining service delivery levels year-over-year remains imperative as we continue to welcome new residents to Loudoun. Through collaborative efforts among the Board, County Administration, and our departments, the Board added 188 new positions to County Government operations in such areas as: law enforcement, fire and rescue, domestic violence, mental health response, and internal operations. These additions show the Board's commitment to delivering high quality services to the community in a responsible and responsive way to meet community goals.

The Board also included funding for compensation for our dedicated employees. For eligible Fire and Rescue employees, the Board funded a step increase and adjusted the salary scales by 2.5% for a total average pay increase of 5.5%. For eligible Sheriff's deputies, the Board funded a step increase and adjusted the salary scales by 5.75% for a total average pay increase of 8.75%. The Board also funded a 4.25% merit increase for eligible general workforce employees. These increases in compensation will allow the County to keep pace with those in our competitive market, address the inflationary environment, and align with our ratified collective bargaining agreements.

The addition of these resources and addressing compensation fulfilled the key needs put forward by the County Administrator in the FY 2027 Proposed Budget, which is impactful for ensuring the County continues to deliver high-quality public services for our residents. The FY 2027 Adopted Budget enhances the commitment the Board has made to funding attainable housing. For FY 2027, the equivalent of a full penny of the real property tax rate is dedicated towards attainable housing, which is approximately $19.4 million. In addition, the Board directed staff to dedicate cigarette tax revenue to the Housing Fund for purposes of funding down payment and closing costs assistance. For FY 2027, this amount is approximately $3 million. Based on these actions, the total amount being contributed to attainable housing in FY 2027 is $29 million.

The Board's Adopted FY 2027 – FY 2032 Capital Improvement Program (CIP) continues to support the Board's goal of delivering high-quality educational, recreational, transportation, and governmental services and totals $4.3 billion over the six-year period. County projects comprise 31% of total CIP expenditures, followed by Transportation projects at 41% and LCPS projects at 28%. A number of new projects were added to the CIP, including a new district park in the Dulles South area, development of several passive parks, microtransit vehicles, funding to address library square footage in eastern Loudoun, replacement of the Hamilton Fire Station and improvements to the Western Loudoun Sheriff's Station.

The Board provided an increase of $105 million to the School Division, continuing to serve as its largest funder. Approximately 90 percent of the increase is dedicated to compensation increases associated with recently approved collective bargaining agreements and increased requirements associated with health insurance increases. Other investments include new positions, investments to enhance communication with families and the community, enhancements to security staffing and technology, and continued implementation of the new ERP system.

Finally, in FY 2027 Board begun the process of restraining budget growth. The growth in local tax funding for the Fiscal Year 2027 budget was kept to just nine percent and we will continue to manage budget growth with the goal of five percent year-over-year growth. This will allow the County to be prepared for slower revenue growth and aligns with long-term slowdown in the County's population growth.

May your upcoming year be healthy and fulfilling. I look forward to continuing the dialogue with you as together we work to support our interwoven community.

As always, thank you for allowing me to serve as your County Chair.

Phyllis J. Randall

Phyllis J. Randall, Chair at Large
Loudoun County Board of Supervisors

Guide to the FY 2027 Adopted Budget

This section provides the reader with an overview of the structure of the budget document, insight into the budget development process, and the economic and organizational factors that influenced the budget.

Concepts

Structure of this Document

The FY 2027 Adopted Budget provides a comprehensive discussion of the available revenue sources that will fund the County's operating and capital budgets for the fiscal year beginning July 1, 2026, and ending June 30, 2027. The resources are funded with revenue generated by the adopted real property tax rate as well as various federal, state, and local taxes, fees, fines, charges for services, and other miscellaneous sources. The majority of the General Fund's revenues are generated by the real property tax rate.

Budget Development Calendar

The County's budget development includes both an internal process and external (or public) process.

Organizational Overview

Thirty departments contribute to the operations of Loudoun County Government. An organizational chart details reporting relationships between the citizens, elected and appointed officials, and staff.

Board Strategic Focus Areas and Initiatives

The Board develops and adopts strategic focus areas and initiatives every four years that describe the vision and goals of the Board and outlines action steps the Board will take to accomplish the goals during their term.

Performance Measures

Department summary tables include performance measures indicating factors affecting departments' work and resource needs. Those sections visually represent the most critical performance measures for a department, particularly those relating to positions added in the FY 2027 Adopted Budget.

Structure of this Document

The Executive Summary provides a high-level overview of the FY 2027 Adopted Budget, including this guide, an overview of key concepts, the Board's budget guidance, total fund appropriation by category, summary of the General Fund, and the history of General Fund Appropriations and FTE by department.

Local Tax Funding

The concept of *local tax funding* (LTF) in Loudoun's budget terminology refers to the revenues raised from the following local tax sources: real property taxes, personal property taxes, penalties and interest on property taxes, the County's allocation of Virginia's sales and use tax, consumers utility taxes on electricity and natural gas, the shortterm rental tax, and the 2 percent General Fund portion of the transient occupancy tax. Use of prior year fund balance is also categorized as LTF. In prior years, new LTF was split between the County Government and Loudoun County Public Schools during the budget development process, with 40 percent allocated to the County Government and 60 percent allocated to the Schools' budget following contributions to the capital budget, debt service, and housing programs. Beginning in FY 2027, LTF funding is utilized to fund growth targets for the County (9 percent) and LCPS (8 percent) and any remaining funding is allocated to the Capital Improvement Plan (80 percent) and Housing Fund (20 percent).

General Fund Revenue and Trends

This section presents a general description of each source of revenue assigned to the General Fund. Individual revenue sources (e.g., real property tax, sales and use tax) are grouped into five broader categories: General Property Taxes, Local NonProperty Taxes, Other Local Sources of Revenue, Commonwealth Aid, and Federal Aid. The section also presents estimates of FY 2027 revenue for each General Fund revenue source along with corresponding actual values from recent years and the revenue estimates from the adopted budget for the current fiscal year.

The final portion of this section is entitled Forecast Discussion and Analysis. This section presents the economic outlook underlying the FY 2027 revenue estimates as well as additional information on some of the major revenue sources. Additional details are provided on real property tax including an explanation of assessed value (including a summary of assessed property values in the County), equalization and the derivation of the homeowner's equalized tax rate, and a brief analysis of the real property tax paid by the average Loudoun homeowner.

Department Summaries

Department sections begin with a brief description of the department and its component programs. The written narrative analyzes each department's expenditure, revenue, and staffing trends year-over-year. Financial tables reflect actual revenue and expenditures for completed fiscal years, the adopted budget for the fiscal year in progress (FY 2026), and the total cost of resources included in the FY 2027 Adopted Budget. The FY 2028 Projected column is generally a default calculation escalating personnel budgets by 4.5 percent and operating and maintenance budgets by 3 percent. In some departments, this column includes projected costs for opening new facilities in the coming fiscal year. The Projected column represents a rough approximation of the costs to continue supporting current resources in the next fiscal year but does not account for the full range of expenditure pressures and resource needs that will impact FY 2028 budget development.

Capital Improvement Program

This section summarizes the Capital Improvement Program (CIP) including the funding plan and anticipated operating impact for each project. The CIP is a six-year capital plan which provides a description for each of the capital projects and is organized into sections including Previously Authorized and Future Projects, County Projects, Transportation Projects, and School Projects. Though the CIP includes planned expenditures for six years, appropriations are only made for the adopted fiscal year. The Guide to the CIP provides a more in-depth overview of the process for developing the CIP and the structure and content of the CIP pages of this document.

Debt Service Fund and Other Funds

The remaining sections describe various funds administered by the County (in addition to the General Fund) for several specific purposes. The Debt Service Fund accounts for the accumulation of resources for the payment of longterm debt (principal, interest, and other related costs).

Other funds include funds used to account for the proceeds of specific revenue sources (other than major capital projects) that are legally restricted to expenditures for specific purposes. Revenues associated with these funds include special improvement taxes, revenues from the state and federal governments, and transfers from other funds.

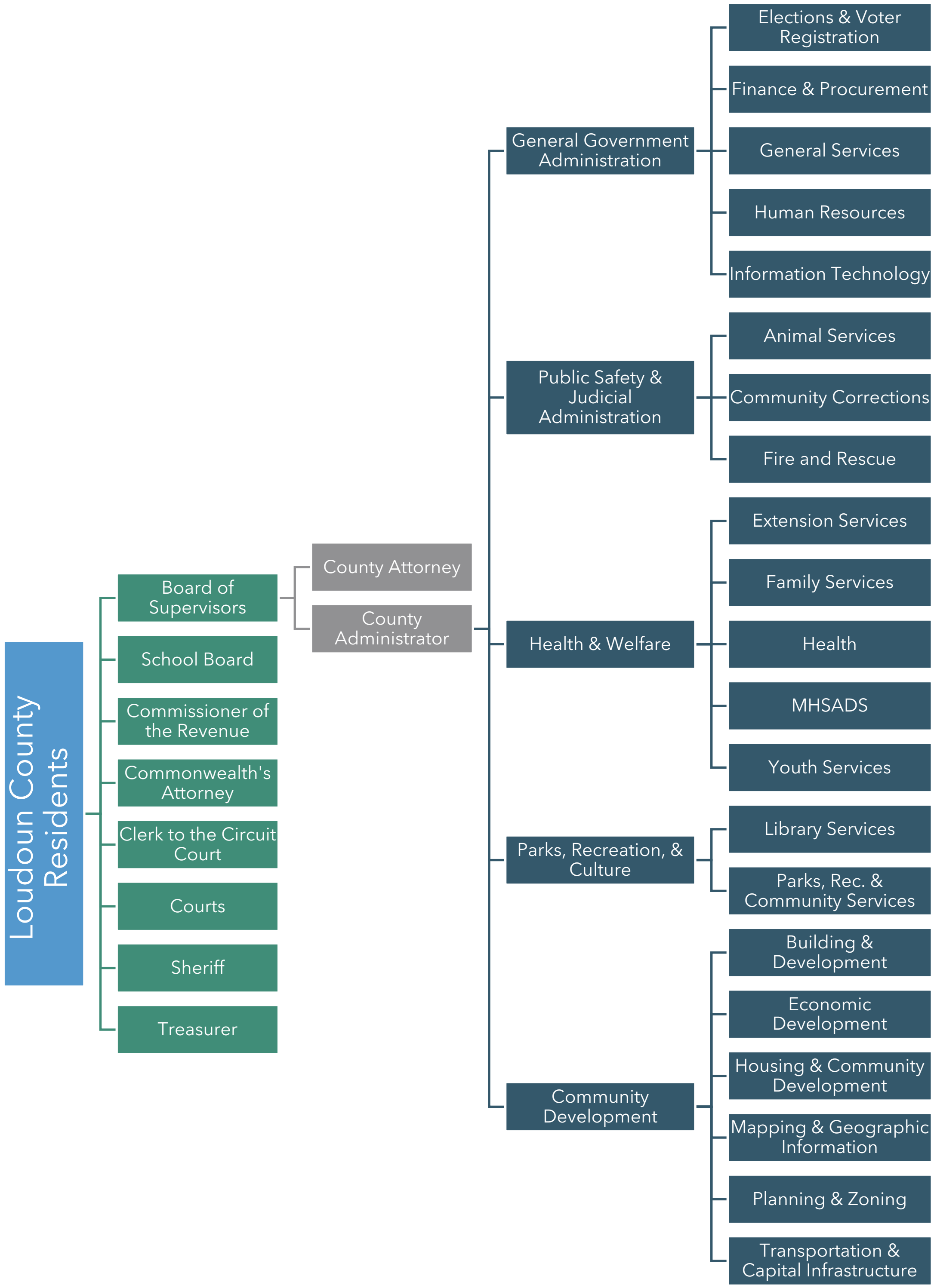
Budget Development Calendar

The calendar describes the County's internal budget process, which highlights the monthly activities required of County departments, as well as the external (or public) process, which highlights the role of the Board, its standing committees, and the public in the development process.

	Internal Process		External (Public) Process
2025	Departments begin **evaluating program resource needs** using performance data.	July	FGOEDC[1] receives **FY 2027 economic outlook** information.
	Departments submit **prioritized resource requests** for review by Management and Budget and County Administration. Management and Budget develops preliminary funding scenarios for County Administrator's consideration.	September - December	FGOEDC is briefed on and provides **budget guidance**.
2026	Commissioner of the Revenue finalizes **assessment data**. Staff finalizes **funding scenario(s)** and produces budget document.	January	The Board provides **final budget guidance** to the County Administrator.
	Departments prepare for work sessions with Board.	February	County Administrator **presents FY 2027 Proposed Budget**. FGOEDC begins work sessions on Capital Improvement Program.
	Departments participate in **work sessions** on the operating and capital budgets.	March	Board holds **work sessions** to discuss FY 2027 Proposed Budget.
	Management and Budget produces **adopted budget and budget story** documents.	April	Board **adopts** FY 2027 Budget.

[1] Finance/Government Operation and Economic Development Committee

Organizational Overview



Board Strategic Focus Areas and Initiatives

Every four years, the Board develops and adopts a work plan that puts into action the vision and goals of the Board during their term. Historically, the work plan has served as a work program, providing direction to staff on initiatives of importance to the Board. Accomplishments and status updates on the work plan are provided to the Board on a regular basis through bi-annual staff reports,[1,2] which include updates on positions that were approved to support Board initiatives and the identification of additional resources needed to support Board initiatives. The work plan is grounded in the vision and goals of the Board, but changes as initiatives are completed and new initiatives are added.

The Board approved the following six strategic focus areas for the 2024-2027 term.

Process

The Board held its Strategic Planning Retreat on June 26, 2024, to discuss the strategic focus areas for the remainder of the Board's term and identify outcomes to be achieved through each focus area.[3] As a result of this retreat, during the December 3, 2024, Business Meeting, the Loudoun County Board of Supervisors approved the strategic focus areas and initiatives that the Board will focus on during its current term, which ends in December 2027.[4]

County Administration staff work with the Chair and Vice Chair of the Board at the beginning of their term to establish a process and timeframe for informing the work of a strategic

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[1] June 17, 2025, Business Meet Item I-3, Board of Supervisors 2024-2027 Strategic Initiatives Bi-Annual Update
[2] December 2, 2025, Business Meeting Item I-3, Board of Supervisors 2024-2027 Strategic Initiatives Bi-Annual Update
[3] June 18, 2024, Business Meeting Item I-2, Preparation for Board of Supervisors Strategic Initiatives Retreat.
[4] December 3, 2024, Business Meeting Item 3, Board of Supervisors 2024-2027 Strategic Work Plan Guidance.

planning retreat. This involves creating a request for proposals from facilitators, facilitator interviews, and meetings to set the process and schedule with the selected facilitator. The following section outlines the Board's strategic focus areas and initiatives.

Uplifting Loudoun Businesses & Promoting New Economic Development

Strengthen existing businesses and business sectors and identify and harness new opportunities to diversify its economy.

GOALS	
1.1	Convene a groundbreaking, collaborative, multi-stakeholder data center forum to help clarify the scope of the problems we are facing regarding grid capacity and energy needs, our goals moving forward, and strategies to meet those goals. All ideas will be on the table including, but not limited to: Advancing on-site sustainable energy generation; Regulating and incentivizing performance standards / codes of conduct ; Building high voltage infrastructure through a federal grant pilot program; Defining transmission corridors; Anticipating the ongoing capacity and staffing needs of the County to advance the multi-faceted work around these emergent questions, including whether there are any benefits to shifting where that work is situated within County government.
1.2	Bolster our equine industry by exploring the development of a center for equine, livestock and other agricultural events, and a quarantine center for horses that are flown into the County
1.3	Conduct an ongoing census for our agricultural industries, which will help clarify reporting discrepancies regarding lost farmland
1.4	Seek incentives to support new farmers and increase farms
1.5	Seek opportunities to get more local products to market
1.6	Support development of meat processing facilities within the County
1.7	Aim to attract a malting facility to Loudoun, in service of microbreweries and related producers
1.8	Work with Route 50 stakeholders to undertake a data-driven analysis of what is needed to promote high quality retail
1.9	Advance any needed regulatory land use changes
1.10	Explore developing a sports commission to attract events to the County
1.11	Create a plan to attract new hotel accommodations, including high-end options, to support tourism

Uplifting Loudoun Businesses & Promoting New Economic Development

Strengthen existing businesses and business sectors and identify and harness new opportunities to diversify its economy.

1.12	Foster business launch opportunities
1.13	Explore the launch of a Streeteries program

Meeting Loudoun County's Diverse Housing Needs

Engage nonprofit organizations, developers, philanthropy, the Chamber of Commerce, and the business community in executing a Countywide vision for achieving these and other goals related to housing.

GOALS	
2.1	Examine the cost-benefit analysis of contracting with a Housing Authority in the Commonwealth to operate housing facilities
2.2	Explore initiatives to encourage a diversity of housing types that expand our attainable housing inventory

Preserving Open Space and the Environment

Continue to explore how to create more community, neighborhood and district parks accessible to residential communities.

GOALS	
3.1	Develop a clear land strategy that includes utilizing different vehicles to support parklands and trails, goals for where and how we can land bank, and an inventory of properties we might purchase or preempt from development
3.2	Update our recycling ordinance and procedures to promote more glass recycling
3.3	Identify opportunities to promote composting and food waste reduction overall
3.4	Bolster our land preservation programs, especially our Western and rural resources, through local, state and federal grant opportunities
3.5	Explore expanding our state park via the several large parcels around Sweet Run
3.6	Preserve our gravel roads by establishing a process for rural road maintenance and criteria for including these roads in our preservation program

Preserving Open Space and the Environment

Continue to explore how to create more community, neighborhood and district parks accessible to residential communities.

3.7	Leverage existing federal and state programs and our County website to educate residents and visitors about Loudoun's history
3.8	Cultivate County-wide opportunities for the beautification of open spaces
3.9	Explore new ways to protect and bolster Loudoun's villages and towns
3.10	Conduct an analysis to ensure that the staff positions and programs within General Services are sufficient to advance our environmental priorities, meet our energy efficiency needs, and leverage cross-departmental collaboration

Improving Diversity, Equity, Inclusion and Belonging

Identify new ways of listening to all communities, in order to understand residents' needs and challenges, and ensure that everyone feels they have an opportunity for their voice to be heard.

GOALS	
4.1	Publish a report for the public regarding the work of Loudoun's Office of Equity & Inclusion and, specifically, how we are prioritizing accessibility and disability community needs in the County
4.2	Establish a County Human Rights Office/Commission by the end of the term

Connecting Loudoun

Look at reorganizing transportation projects as a whole, including bus services focusing on high traffic, lower income areas, and assessing the opportunity for an on-demand bus program.

	GOALS
5.1	Ensure there is least one option for affordable broadband connectivity available in 100% of Loudoun homes
5.2	Update laws and policies to enable shared infrastructure that promotes greater installation access and ease of connectivity
5.3	Increase siting of cell towers in our wireless deserts as fast as possible, and determine if there are public properties to help achieve this goal
5.4	Determine resources needed to accelerate multi-modal transportation projects and any ways to streamline transportation processes and efficiencies at a project and a program level (i.e. environmental review, land acquisition, and utilities relocation), including determining any needed efficiencies between programs
5.5	Identify mechanisms to complete missing links between parks and trails, including by right easements
5.6	Create interparcel park connections of sidewalks and trails so people can walk to and through our County parks
5.7	Build more cross-walks on all four sides of an intersection
5.8	Identify ways to increase ease of movement by scooter or bike
5.9	Build out shared use paths for cyclists and pedestrians, and envision a future where every sidewalk has a shared use path
5.10	Establish a pilot project for protected bike lanes
5.11	Double our annual goals for bus shelters per year, from 20 to 40, with a timeline for completing missing links and resource links
5.12	Institute a process to identify roads subject to revitalization, redevelopment, paving, etc. that will accommodate new bike lanes
5.13	Identify opportunities for long haul buses to and from Loudoun, to increase offerings in both directions
5.14	Advance Route 50 interchanges
5.15	Rank road improvements for smart scale, as we currently rank intersections
5.16	Preserve our gravel roads by establishing a process for rural road maintenance, and criteria for including these roads in our preservation program
5.17	Explore offering a pre-tax dollars program for employees to fund commuter transit
5.18	Explore holding Transportation summit to kick off CTP update

Community Programs and Services

Continue to explore ways to conduct its needs assessments and promote feedback loops with the public to better understand community needs and requests for programs and services.

GOALS	
6.1	Prioritize connecting Mental Health, Substance Abuse and Developmental Services with families supporting adults 22 and above, aging out of public schools who cannot engage in competitive employment, to better understand and address their challenges in accessing day services
6.2	Assess the County's outsourcing of services, identify which services should be in-house, and clarify the relative costs
6.3	Explore developing an affordable childcare program as a benefit for County employees
6.4	Partner with public schools, especially those being retrofitted, to help provide multi-use playing fields

Performance Measures

The Adopted Budget is designed to provide information in a clear format, notably in displaying performance measures. To fully explain program outcomes and factors affecting the department, a Key Measures section visually represents performance measures within each department summary. Explanations accompany these visuals to provide a summary of the estimated impact of resources added in FY 2027 and FY 2028.

Family Services Priority 1: Public Assistance*

Personnel:	O&M:	Capital:	Revenue:	LTF:	FT pos.	PT pos.
$1,388,931	$71,430	$0	$365,330	$1,095,031	12	0

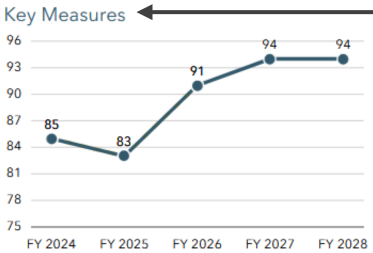
Details

Service Level: Current Service Level Request
Mandates: Federal/State Mandate
Program: Public Assistance & Supports
Activity: Public Assistance
Positions: 3 Child Care Specialist
2 Public Benefits Case Reviewer
2 Public Benefits Program Specialist II
3 Public Benefits Program Specialist III
1 Public Benefits Program Specialist IV
1 Supervisor, Public Benefits Program
One-time LTF: $34,800
Recurring LTF: $1,060,231

Overview

*Approved requests marked with an asterisk were added due to changes at the federal level.
• This approved request includes twelve regular full-time positions to maintain the current service level of the Public Assistance and Supports program. Federal Public Assistance Programs mandate that 97 percent of applications submitted be processed and determined for eligibility within the timeline prescribed for the program being applied for, typically seven to 90 days from application submission.
• Between FY 2023 - FY 2026, the number of Medicaid applications received has consistently increased by an average of 10 percent per year. Over this time, the Department has requested new public benefits staff to address the increased volume of applications. Staff project average caseloads will decrease from 982 in FY 2025 to an estimated 819 cases per worker with approval of this resource request, bringing the Department closer to the recommended level of 600-700 cases per worker in line with peer jurisdictions.
• Furthermore, reforms to public benefits programs at the federal level are expected to increase workload of public assistance staff due to more frequent eligibility verifications and application churn for participants that may no longer be eligible for benefits.
• This approved request includes six public benefits program specialists, three childcare specialists, two public benefits case reviewers, and one public benefits program supervisor to minimize service delays for public assistance programming, maintain caseloads for public assistance staff, and adhere to new federal and state mandates.

Key Measures



Measure: Percent of Medicaid Applications (Timeliness/Disposition Rate--Target 97%)

Approved positions are expected to positively impact timeliness and accuracy rates mandated for federal public assistance programs. The number of individuals applying for public assistance has consistently increased since FY 2021. Approved public benefits staff will support the public assistance program in meeting mandates.

Key Measure provides data to explain the department's current and future needs along with the internal and external factors affecting these needs.

Measure defines the data presented in the chart.

Explanation for Resource Needs/Measure in *italics* provides additional contextual information to the measure and objective to explain how and why additional resources are needed or the importance of the measure if unrelated to a resource.

Charts and graphs visually explain the data and information for readers to understand the information quickly and easily.

Adopted Budget Overview

The FY 2027 Adopted Budget is balanced at the real property tax rate of $0.805, a general personal property tax rate of $4.15, and a personal property tax rate on vehicles of $3.09 in Tax Year (TY) 2026 and $2.94 in TY 2027.

Concepts

General Fund

The General Fund is the County's primary operating fund. It accounts for all financial resources of the general government except for those required to be accounted for in other funds. The majority of the County's revenues flow through the General Fund and support most operating costs, including salaries and benefits, internal service charges, materials and supplies, and transfers to other funds. The General Fund's main source of revenue is general property taxes, which are levied on residential and commercial property as well as computer equipment, vehicles, machinery, and other personal property.

Local Tax Funding (LTF)

The concept of *Local Tax Funding* in Loudoun's budget terminology is a specific set of revenue sources used to fund both Loudoun County Government and Loudoun County Public Schools (LCPS). In prior years, new LTF was split between the County Government and LCPS during the budget development process, with 40 percent allocated to the County Government and 60 percent allocated to the Schools' budget. Beginning in FY 2027, LTF is utilized to fund growth targets for the County and LCPS and any remaining funding is dedicated to the Capital Improvement Plan (80 percent) and Housing Fund (20 percent).

Equalized Tax Rate

The equalized real property tax rate is the tax rate that will generate the same level of real property revenue that was generated in the prior tax year by property that existed in the prior year. The equalized rate considers changes in property value ("appreciation" or "depreciation") but not new construction.

Current Tax Rate

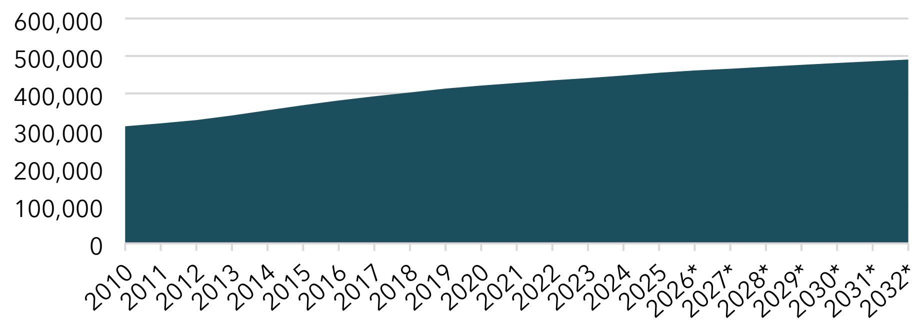
The current real property tax rate is the tax rate adopted as part of the FY 2027 budget, representing the real property rate in place for TY 2026. Throughout this document, the term *current rate* refers to the TY 2026 real property tax rate, which is $0.805 per $100 of assessed value.

Appropriations Categories

Revenues and expenditures are shown in three appropriations categories: operating, debt, and capital appropriations. Operating appropriations are those that support regular County and School Division operations and include general and some special revenue funds. Debt appropriations are those that support debt service payments and tax district funds. Capital appropriations are those that support capital-related funds and capital facility construction, renovation, and the repair and purchase of major capital equipment.

Demographic Environment

Loudoun County has been one of the fastest growing counties in the nation since the late 1990s. The County's forecasted 2027 population is 465,884. The County's continued growth is illustrated in the graph below, which shows estimated population growth through 2025, along with forecasts through 2032, the end of the Capital Improvement Program period. The County's population grew 35 percent from 2010 to 2020 and is forecasted to grow 14 percent from 2020 through 2030.



Population of Loudoun County
Sources: U.S. Census Bureau, Census 2000, 2010, and 2020; Loudoun County Office of Management and Budget, November 2025.
**Forecast*

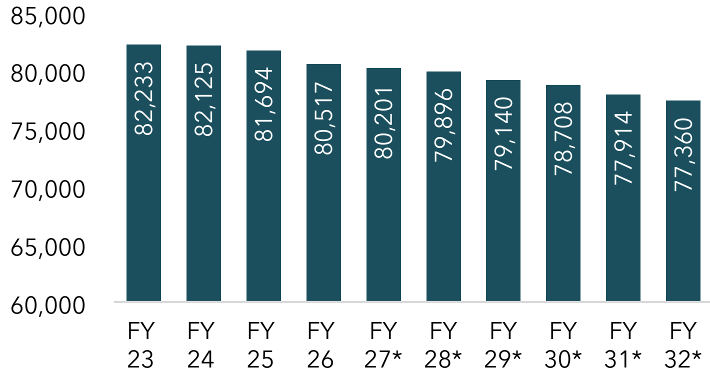
The County's population growth results from births outpacing deaths as well as more in-migrants than out-migrants. The 2024 Loudoun County Survey of Residents indicated that approximately 45 percent of Loudoun's residents have lived in the County for ten years or less[1]. Many new residents come to Loudoun County to take advantage of its growing economy, job opportunities, proximity to jobs and amenities, housing availability, public school system, and quality of life.

The County's birthrate has been a contributing factor to its population growth, though rates have been declining in recent years. Loudoun's birthrate fell from 11.3 in 2021 to 10.3 in 2025, now slightly below the 10.4 rate for Virginia and 10.6 for the United States[2]. This trend of declining rates is consistent across Loudoun, Virginia, and the nation. Still, Loudoun has a higher proportion of people under the age of 18 (26 percent) compared to 22 percent nationally, according to the U.S. Census Bureau Population Estimates Program (PEP).

Public Schools

[1] Additional information on the Survey of Residents can be found online at https://www.loudoun.gov/1032/Survey-of-Residents.
[2] Birth rate figures sourced from the U.S. Census Bureau, Population Estimates Program (PEP), Vintage 2025. Prior budgets used other sources. Figures may not be directly comparable to those published in prior budget documents.

The high percentage of young families is responsible for the County's large population of school children. Public school enrollment increased by 12 percent between fiscal years 2015 and 2023. As a result of the COVID-19 pandemic, student enrollment for the 2020-2021 school year was 81,504, a decline of 3.2 percent from the prior school year, compared to forecasted growth of 1.9 percent. While the Loudoun County Public Schools anticipated many of these students to return for the 2021-2022 school year, enrollment growth continues to remain lower than forecasted pre-pandemic or has turned negative. The FY 2027 budget anticipates 0.39 percent decline in enrollment for the 2026-2027 school year, or 80,201 students, approximately 3,970 fewer students than pre-pandemic (FY 2020).



Public School Enrollment

Source: Loudoun County Public Schools, FY 2027 Superintendent's Statement of Needs (SEON)

Economic Environment

Loudoun County's economy has been growing rapidly, driven by continued strength of the information and communications technology and advanced manufacturing industry clusters and by significant population growth. The gross domestic product of the County grew by 6.8 percent in 2024 and 48 percent over the period from 2019 to 2024.

Loudoun has outpaced other local jurisdictions within the region in job growth and other metrics of economic performance. Data from the U.S. Bureau of Labor Statistics show that "at place" employment within the County has increased steadily every year from 2009 through 2025, except for 2020. Jobs lost due to the impact of the COVID-19 pandemic were recovered by the end of 2021. The number of payroll jobs in Loudoun increased by 28 percent from 2016 to 2025, while payroll jobs in the Washington, D.C., Metropolitan Statistical Area and Virginia increased 4.8 percent and 11.8 percent over that time, respectively. The service industries[1] accounted for 60 percent of Loudoun's average employment in 2025 and contributed much of the growth in employment in the past decade, although other industries have also grown. The average monthly unemployment rate among residents of the County in 2025 was 3.2 percent, lower than the average unemployment rate of 3.3 percent for Virginia and 4.3 percent for the nation overall.

Loudoun's economic vitality is evidenced by its very high median household income of $177,567 in 2024[2], more than twice the national median. Likewise, in 2024 Loudoun

[1] The service industries include information, finance, professional and business services, education and health, and leisure and hospitality.

[2] 2024 One-Year American Community Survey.

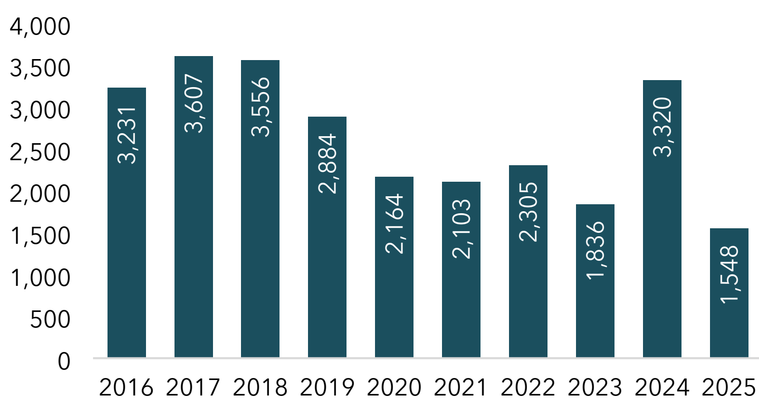
ranked in the top 3 percent of all U.S. counties in terms of per capita personal income. From 2015 to 2024 Loudoun's per-capita personal income grew from $71,082 to $106,510, representing average growth of 4.5 percent per year.

Residential Construction

In 2025, the County issued building permits for 1,548 new residential units (excluding group quarter units, such as nursing homes, college dormitories, homeless shelters, and detention centers). Of the 1,548 permitted housing units, 23.5 percent were for single-family detached, 17.6 percent for single-family attached, and 58.9 percent for multifamily units.

From 2016 to 2018, permits remained relatively stable at around 3,500 annually before declining in 2019, followed by a sharp drop during the COVID-19 pandemic in 2020 and 2021. Permit levels were somewhat higher in 2022. Permits levels shown in 2023 and 2024 reflect in part the installation of a new permitting system, leading to a backlog of permits which was resolved in 2024. Levels in 2024 also incorporate a high number of multifamily units. The large size of some multifamily buildings can increase the year-to-year volatility in permit numbers.

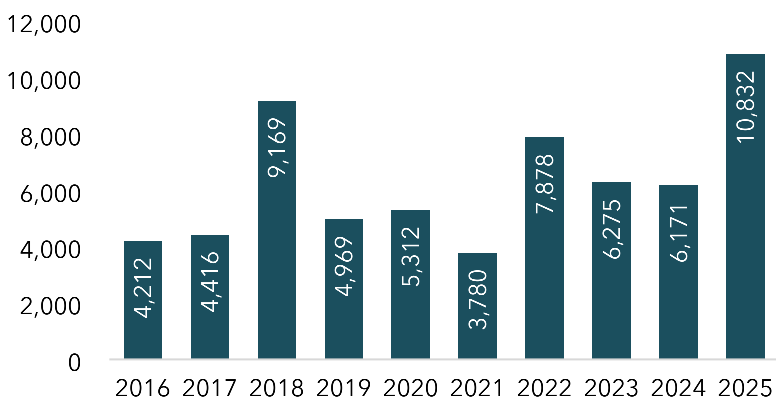
Permitting levels have not returned to the levels shown in 2016-19. Activity in 2025 is the lowest in a decade. However, contributors to the drop from 2024 to 2025 include the impact of moving through the permit backlog and the high number of multifamily units occurring in 2024. Additional factors that may be impacting permitting levels include higher mortgage interest rates beginning in 2022, and a reduced supply of land for single-family development.



Total Residential Housing Units Permitted for New Construction
Source: Loudoun County Department of Building and Development. Compiled by Loudoun County Department of Planning and Zoning.

Non-Residential Construction

Loudoun County issued building permits for 10.8 million square feet of new non-residential space in 2025, the highest annual total over the past decade. It was a very strong year for new investment as Loudoun continues to benefit from its competitive advantages in the data center market and high demand for flex/industrial space.



New Non-Residential Construction, Thousands of Square Feet Permitted

Source: Loudoun County Department of Building and Development. Compiled by Loudoun County DPZ.

Economic Development

In 2004, the Board unanimously adopted a community economic development strategy. This strategy offered a vision of Loudoun with a globally competitive economy, favorable business environment, exceptional quality of place, and a strong sense of community. In 2013, the Board reaffirmed and expanded this strategic view with elements including fiscal responsibility, an effective transportation network, and high-quality educational opportunities.

The highly educated workforce, proximity to Washington, D.C., and connectivity provided by Washington Dulles International Airport as well as the local concentration of digital infrastructure continue to make Loudoun County a desirable business location. The data center industry continues to expand, with approximately 10 million square feet of new data center space permitted by the County in 2025. In addition to data centers, notable business attraction and expansion projects for Loudoun County included ORBCOMM, Dynalectric, Collins Aerospace and other companies in the aerospace, healthcare, transportation and agricultural sectors. The largest private sector employers in the county include United Airlines, Amazon, INOVA Health System, Verizon, Northrop Grumman and Dynalectric.

The County is supporting a significant mixed-use, transit-oriented development through the Rivana at Innovation Station Community Development Authority (CDA), established by the Board of Supervisors in July 2023 to support construction of public infrastructure. The Rivana at Innovation Station development will help drive economic development and support many County goals articulated in the 2019 Comprehensive Plan related to providing new opportunities for employers to locate near a complete urban community with walkable development and connectivity to transit. Rivana will support the goals to provide dynamic and diverse public places and amenities and a balance of uses that accommodate living, working, learning, and playing while protecting environmental resources and providing a network of publicly available green spaces. The County expects an ongoing positive economic impact from Rivana at Innovation Station through positioning Loudoun to capture opportunities with prospective businesses in target industries and strategically support development in transit-oriented locations.

Loudoun County continues to foster an ecosystem for entrepreneurs and innovative new businesses to thrive. Small businesses have the greatest potential for growth and are a key component of the Loudoun economy, with approximately 87 percent of Loudoun’s businesses having fewer than 20 employees. The presence of high-growth companies is illustrated by the 45 Loudoun businesses currently on Inc. Magazine's annual listing of fastest growing companies, with 2025 marking the twelfth consecutive year of more than 20 Loudoun businesses in the Inc. 5000. The small business and entrepreneurship manager with the Department of Economic Development serves as the central point of contact for entrepreneurs within the County, connecting them with resources and creating synergies between Loudoun's entrepreneurship partners. The Small Business Development Center (SBDC) continues to support small businesses by providing one-on-one coaching, workshops, and information on all aspects of small business management. The County also established Launch Loudoun in 2023, a small business and entrepreneurship program supported by several resource partners to create virtual and in-person programming to help businesses to succeed. Launch Loudoun Office Hours offer personalized, 1-on-1 consultations for small business owners and entrepreneurs several days per month at locations across Loudoun County to provide small businesses with expert guidance on operations, finance, and marketing. Monthly meet-up groups geared toward high-growth and technology-focused businesses like One Million Cups also provide opportunities for entrepreneurs to network, learn from each other and refine their business concepts.

Real Property Assessments

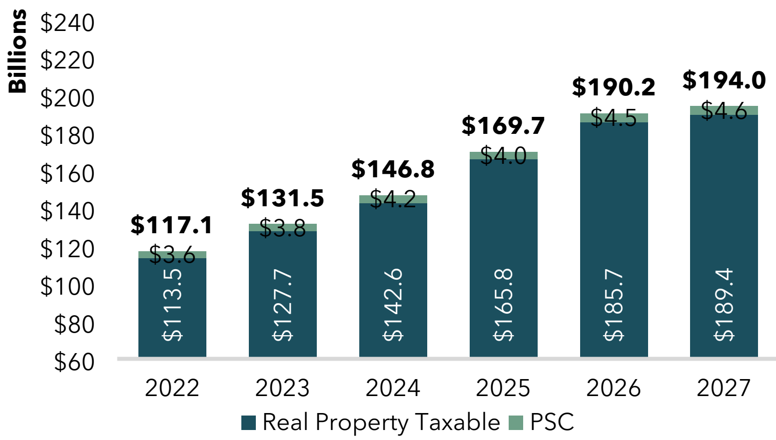
The estimated fair market value of taxable (i.e., non-exempt) real property (excluding the value enrolled in the County's land use assessment program) increased by $19.91 billion (or 12.01 percent) from $165.8 billion on January 1, 2025, to an estimated $185.7 billion on January 1, 2026. The FY 2027 Adopted Budget anticipates that the assessed value could increase by a reasonable margin as data center properties continue to appreciate in favorable manner. Staff continue to monitor for potential personal property tax revenue impacts associated with the data center industry more generally given the volatility of this particular revenue category but anticipates healthy growth in the near term to outfit new facilities.

During 2025, residential property appreciated by 1.36 percent; this is lower than in recent years as still heightened interest rates (relative to pandemic era lows) combine with increasing economic headwinds to depress the residential property market. Commercial property appreciated by 28.31 percent[1], primarily from revaluations associated with data centers. New development added $3.51 billion to the real property portfolio in 2025, compared to approximately $3.78 billion in 2024 and approximately $5.4 billion in 2023, and was led by the data center industry. The taxable value of public service corporation real property (which is not included in the above discussion) represents a forecasted additional $4.51 billion and is anticipated to experience growth of 3 percent[2].

[1] Rate may differ from those presented elsewhere in the budget document where commercial property values are reported in the aggregate with multi-family properties.

[2] Public service corporations are valued by the State Corporation Commission and the Virginia Department Taxation in the fall of each respective tax year. Values for TY 2026 and 2027 are estimates prepared by OMB. As a general note, values for Public Service Corporations (PSC) for 2022 and prior years may not include valuation data within special tax districts, which are reflected in TY 2023 and forward data.

The FY 2027 Adopted Budget incorporates a real property tax rate of $0.805 per $100 of assessed value, which became effective on January 1, 2026, following adoption by the Board. This tax rate is 7.0 cents higher than the overall equalized tax rate ($0.735) and equivalent to the TY 2025 tax rate of $0.805.

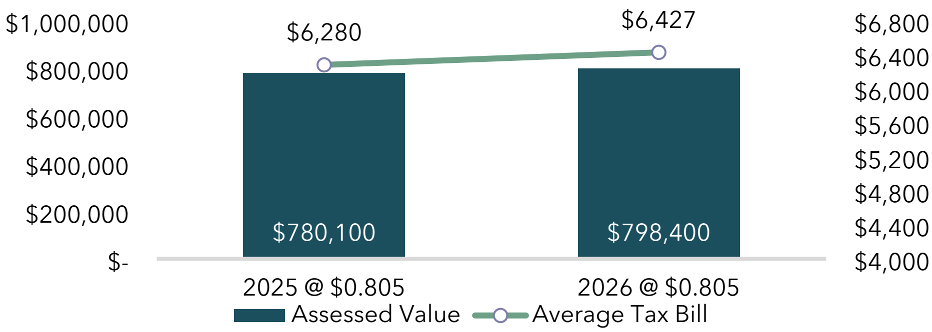


Estimated Fair Market Value of Taxable Real Property

Source: Loudoun County Commissioner of the Revenue Annual Tax Reports (2022-2026, Annual Assessment Summaries), Loudoun County OMB (2027); Compiled by OMB.

Average Homeowner Real Property Tax Bill

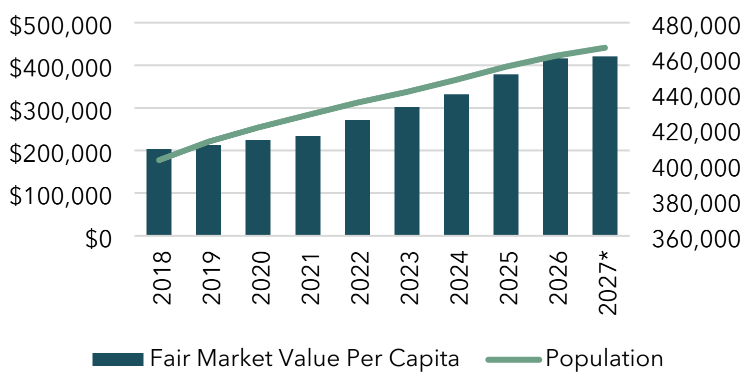
The chart below compares the annual real property tax bill for the average value of a completed home in Loudoun County on January 1, 2025, under the TY 2025 real property tax rate of $0.805 with the average valuation and tax bill for these same homes under the Adopted Budget real property tax rate of $0.805 (TY 2026). For the mix of homes (single-family detached, townhouse, and condominium) that existed on January 1, 2025, the average value was $780,100. The average value of these same homes on January 1, 2026, is $798,400[1]. For the average homeowner, this represents an increase of $147 per year.



Average Real Property Tax Bill and House Value Comparison by Tax Year

Service Environment

Loudoun's population growth continues to generate needs for additional educational and public infrastructure in the County. The County's population continued to increase even during the 2008-2009 economic recession, causing service needs to grow at a time when real property values declined. The County's economy has expanded steadily since the end of the Great Recession in 2009 and property values have improved significantly. The County's real property tax base recovered to a level above its pre-recession (2007) peak value in 2014 and has continued to increase. Loudoun's 2025 real property tax base per resident is estimated at $388,490, an increase of 17.5 percent from 2024 as population is estimated to have increased 1.3 percent and values increased 19 percent. Since 2013, real property tax base growth has consistently exceeded population growth, resulting in steady growth in the property tax base per resident.



Real Property Fair Market Value Per Capita & Population

Source – Population Data: OMB

Source –Annual Assessment Summaries (2014-2025); OMB estimate (2025- PSC and 2026-entirety). Compiled by OMB.

[1] Commissioner of the Revenue February 24, 2026, Assessment Summary.

Local Tax Funding Revenue Sources

The table below includes a summary of LTF in the Adopted Budget. Each cent of the real property tax rate for TY 2026 approximates $19.4 million in recurring revenue; each cent of the vehicle tax rate for TY 2027 is approximately $245,000; and each cent of the general personal property tax rate for TY 2027 is approximately $1.15 million in FY 2027.

Revenue Category	FY 2026 Adopted	FY 2027 Adopted	Variance
Real Property Rate	**$0.805**	**$0.805**	
General Personal Property Tax			
Fall Levy	**$4.15**	**$4.15**	
Spring Levy	**$4.15**	**$4.15**	
Vehicle Personal Property Tax			
Fall Levy	**$4.15**	**$3.09**	
Spring Levy	**$3.09**	**$2.94**	
Real Property			
General Real Property Taxes	$1,356,993,271	$1,520,933,087	$163,939,816
Public Service Property Taxes	35,958,432	38,018,700	2,060,268
Penalties & Interest	15,644,000	18,775,300	3,131,300
Personal Property			
Computer Equipment Data Centers	$794,780,452	$879,094,354	$84,313,902
General Personal Property	268,626,933	191,060,715	(77,566,218)
Computer Equipment Taxes	17,318,338	-	(17,318,338)
Machinery and Tools Taxes	2,190,000	2,535,300	345,300
Heavy Equipment Taxes	1,699,000	1,920,100	221,100
Aircraft Taxes	68,000	97,400	29,400
Broadband Wireless Business Equipment	19,000	14,800	(4,200)
Mobile Home Taxes	16,297	18,500	2,203
Satellite Manufacturing Equipment	7,000	7,200	200
Other Local Taxes			
Sales Tax	$109,737,000	$114,330,000	$4,593,000
Consumer Utility Taxes	16,136,000	15,200,000	(936,000)
Transient Occupancy Tax	3,520,000	3,520,000	0
Short-Term Rental Tax	1,089,000	1,228,900	139,900
Cigarette Tax	3,250,000	0	(3,250,000)
Subtotal - LTF	**$2,627,052,723**	**$2,786,754,356**	**$159,701,633**
Use of Fund Balance	**$69,244,201**	**$34,000,000**	**($35,244,201)**

Revenue Category	FY 2026 Adopted	FY 2027 Adopted	Variance
Total - LTF	**$2,696,296,924**	**$2,820,754,356**	**$124,457,432**

Average Homeowner Tax Bill	**$6,280**	**$6,421**	**$141**

Schedule of Appropriations

A portion of the County's LTF remains in the General Fund to fund departmental operations and an additional amount is transferred to other funds to support additional operations, debt, and capital-related expenditures of the County Government and School Division. The tables below summarize each fund's total appropriation in terms of expenditures, revenues (non-LTF), and LTF.

FY 2027 Adopted Budget, Schedule of Appropriations[1]

Appropriation Category	Expenditure	Revenue	Local Tax Funding	% of Total LTF
Operating Appropriations				
County General Fund	$1,146,942,746	$397,464,012	$749,478,734	26.6%
School Operating Fund	2,066,954,668	582,005,304	1,484,949,364	52.6%
School Grant Fund	34,467,146	34,467,146	0	0.0%
School Lease Purchase Fund	10,002,000	10,002,000	0	0.0%
School Nutrition Fund	54,569,214	54,569,214	0	0.0%
Children's Services Act Fund	10,331,436	6,641,369	3,690,067	0.1%
Disposable Plastic Bag Tax Fund	815,000	815,000	0	0.0%
Dulles Town Center CDA Fund	0	0	0	0.0%
EMS Transport Reimbursement Fund	9,000,000	9,000,000	0	0.0%
Housing Fund	34,003,358	8,022,500	25,980,858	0.9%
Legal Resource Center Fund	183,326	58,445	124,881	0.0%
Metro Garages Fund	3,444,877	3,444,877	0	0.0%
Opioid Abatement Settlement Fund	187,651	187,651	0	0.0%
Other Special Revenue Funds	91,000	91,000	0	0.0%
Rental Assistance Program Fund	16,316,061	16,043,671	272,390	0.0%
Restricted Use Transient Occupancy Tax	5,280,000	5,280,000	0	0.0%
Rivana Community Development Authority	1,082,685	229,713	852,972	0.0%
Self-Insurance Fund	7,000,000	0	7,000,000	0.2%
State and Federal Grants Fund	5,173,409	5,173,409	0	0.0%
Subtotal - Operating Appropriations	**$3,405,844,577**	**$1,133,495,311**	**$2,272,349,266**	**80.6%**
Debt Appropriations				
County Government	133,589,799	34,198,228	99,391,572	3.5%

[1] Sums may not equal due to rounding.

Appropriation Category	Expenditure	Revenue	Local Tax Funding	% of Total LTF
School System	161,941,726	5,582,908	156,358,818	5.5%
Route 28 Special Improvements Fund	32,314,000	32,314,000	0	0.0%
Tall Oaks Water and Sewer Fund	60,572	60,572	0	0.0%
Subtotal - Debt Appropriations	**$327,906,097**	**$72,155,708**	**$255,750,389**	**9.1%**
Capital Appropriations				
County Government Capital Projects	$721,015,390	$582,135,484	$138,879,906	4.9%
County Asset Preservation Program	82,313,277	26,006,000	56,307,277	2.0%
Capital Projects Financing Fund	541,789,783	541,789,783	0	0.0%
Major Equipment Replacement Fund	20,500,000	15,000,000	5,500,000	0.2%
Public Facilities Fund	16,255,091	16,255,091	0	0.0%
portation District Fund	183,888,963	145,088,963	38,800,000	1.4%
School System Capital Projects	71,170,000	71,170,000	0	0.0%
School System Asset Preservation	53,130,000	0	53,130,000	1.9%
Subtotal - Capital Appropriations	**$1,690,062,505**	**$1,397,445,322**	**$292,617,183**	**10.4%**
Unallocated Balance	**$37,518**	**$0**	**$37,518**	**0.0%**
Total Appropriations	**$5,423,850,697**	**$2,603,096,341**	**$2,820,754,356**	**100.0%**

Comparison of Appropriations

The table below compares the FY 2027 Adopted Budget appropriation level (or "Expenditures" column from the table on the previous page) to the FY 2026 Adopted Budget appropriation level. The FY 2027 Adopted Budget includes an overall $740.8 million increase in expenditures. This year-over-year increase includes an approximate $546 million increase in capital appropriations, $28 million for debt appropriations and $105 million for LCPS operating appropriations.

Comparison of Appropriations, FY 2026 Adopted and FY 2027 Adopted[1]

Appropriation Category	FY 2026 Adopted	FY 2027 Adopted	Variance
Operating Appropriations			
County General Fund	$1,102,108,445	$1,146,942,746	$44,834,300
School Operating Fund	1,962,144,782	2,066,954,668	104,809,886
School Grant Fund	32,844,591	34,467,146	1,622,555
School Lease Purchase Fund	10,002,000	10,002,000	0
School Nutrition Fund	53,382,342	54,569,214	1,186,872
Children's Services Act Fund	10,331,436	10,331,436	0
Disposable Plastic Bag Tax Fund	750,000	815,000	65,000
Dulles Town Center CDA Fund	3,500,000	0	(3,500,000)
EMS Transport Reimbursement Fund	9,000,000	9,000,000	0
Housing Fund	22,300,000	34,003,358	11,703,358
Legal Resource Center Fund	175,861	183,326	7,465
Metro Garages Fund	3,498,832	3,444,877	(53,955)
Opioid Abatement Settlement Fund	187,651	187,651	0
Other Special Revenue Funds	91,000	91,000	0
Rental Assistance Program Fund	12,887,820	16,316,061	3,428,241
Restricted Use Transient Occupancy Tax	5,280,000	5,280,000	0
Rivana Community Development Authority	0	1,082,685	1,082,685
Self-Insurance Fund	5,455,700	7,000,000	1,544,300
State and Federal Grants Fund	5,075,574	5,173,409	97,835
Subtotal - Operating Appropriations	**$3,239,016,034**	**$3,405,844,577**	**$166,828,542**
Debt Appropriations			
County Government	$119,738,500	$133,589,799	$13,851,299
School System	153,357,190	161,941,726	8,584,536
Route 28 Special Improvements Fund	26,830,000	32,314,000	5,484,000
Tall Oaks Water and Sewer Fund	60,572	60,572	0
Subtotal - Debt Appropriations	**$299,986,262**	**$327,906,097**	**$27,919,836**
Capital Appropriations			

[1] Sums may not equal due to rounding.

Appropriation Category	FY 2026 Adopted	FY 2027 Adopted	Variance
County Government Capital Projects	$507,437,269	$721,015,390	$213,578,121
County Asset Preservation Program	32,134,118	82,313,277	50,179,159
Capital Projects Financing Fund	301,928,047	541,789,783	239,861,736
Major Equipment Replacement Fund	5,500,000	20,500,000	15,000,000
Public Facilities Fund	14,282,222	16,255,091	1,972,869
Transportation District Fund	153,001,558	183,888,963	30,887,405
School System Capital Projects	81,760,000	71,170,000	(10,590,000)
School System Asset Preservation	48,000,000	53,130,000	5,130,000
Subtotal - Capital Appropriations	**$1,144,043,215**	**$1,690,062,505**	**$546,019,290**
Unallocated Balance	**$37,500**	**$37,518**	**$18**
Total Appropriations	**$4,683,083,011**	**$5,423,850,697**	**$740,767,687**

Comparison of Local Tax Funding

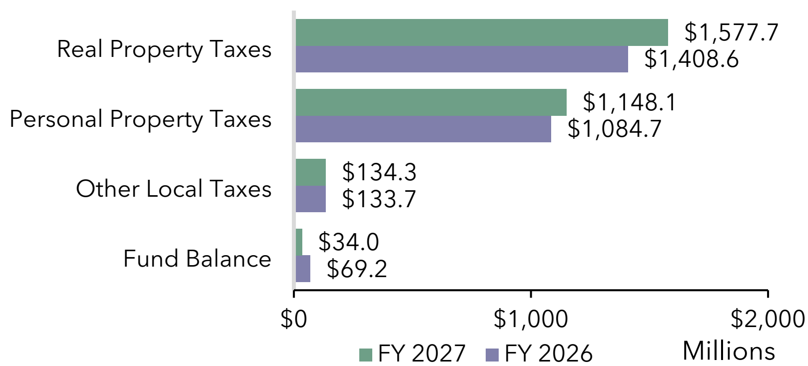
The table below compares the use of LTF in all funds between FY 2026 and FY 2027, an increase of $198 million. LTF in the County's General Fund increased by $18.4 million or 2.3 percent, which includes a decreased contribution of $39.7 million to the Revenue Stabilization Reserve and $8.0 million in one-time reserve funding for LCPS. The local transfer for the LCPS operating fund increased by $105 million or 7.6 percent from FY 2026 Adopted.

Comparison of the Use of Local Tax Funding, FY 2026 Adopted and FY 2027 Adopted[1]

Appropriation Category	FY 2026 Adopted	FY 2027 Adopted	Variance
Operating Appropriations			
County General Fund	$804,377,370	$749,478,734	($54,898,636)
School Operating Fund	1,379,949,364	1,484,949,364	105,000,000
School Grant Fund	0	0	0
School Lease Purchase Fund	0	0	0
School Nutrition Fund	0	0	0
Children's Services Act Fund	3,690,067	3,690,067	0
Disposable Plastic Bag Tax Fund	0	0	0
Dulles Town Center CDA Fund	0	0	0
EMS Transport Reimbursement Fund	0	0	0
Housing Fund	17,300,000	25,980,858	8,680,858
Legal Resource Center Fund	124,881	124,881	0
Metro Garages Fund	0	0	0
Opioid Abatement Settlement Fund	0	0	0
Other Special Revenue Funds	0	0	0
Rental Assistance Program Fund	272,390	272,390	0
Restricted Use Transient Occupancy Tax	0	0	0
Rivana Community Development Authority	0	852,972	852,972
Self-Insurance Fund	5,455,700	7,000,000	1,544,300
State and Federal Grants Fund	0	0	0
Subtotal - Operating Appropriations	**$2,211,169,772**	**$2,272,349,266**	**$61,179,494**
Debt Appropriations			
County Government	$88,370,293	$99,391,572	$11,021,278
School System	147,573,065	156,358,818	8,785,753
Route 28 Special Improvements Fund	0	0	0
Tall Oaks Water and Sewer Fund	0	0	0
Subtotal - Debt Appropriations	**$235,943,358**	**$255,750,389**	**$19,807,031**
Capital Appropriations			

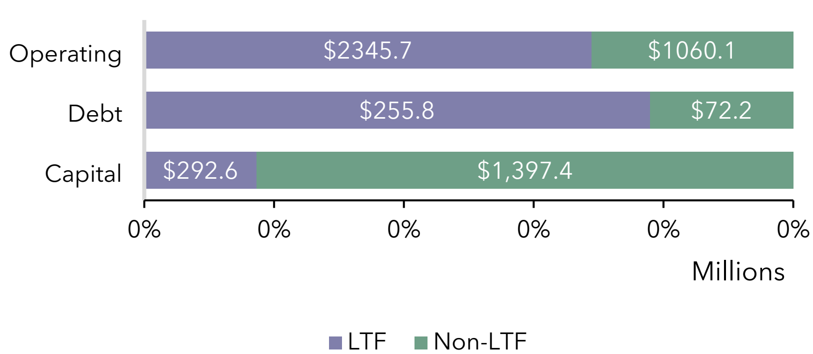
[1] Sums may not equal due to rounding.

Appropriation Category	FY 2026 Adopted	FY 2027 Adopted	Variance
County Government Capital Projects	$118,412,176	$138,879,906	$20,467,730
County Asset Preservation Program	32,034,118	56,307,277	24,273,159
Capital Projects Financing Fund	0	0	0
Major Equipment Replacement Fund	5,500,000	5,500,000	0
Public Facilities Fund	0	0	0
Transportation District Fund	34,600,000	38,800,000	4,200,000
School System Capital Projects	10,600,000	0	(10,600,000)
School System Asset Preservation	48,000,000	53,130,000	5,130,000
Subtotal - Capital Appropriations	**$249,146,294**	**$292,617,183**	**$43,470,889**
Unallocated Balance	**$37,500**	**$37,518**	**$18**
Total - Local Tax Funding	**$2,696,296,92**	**$2,820,754,356**	**$124,457,432**



Comparison of Local Tax Funding Sources

Growth in the data center industry property assessed values is the most substantial change, which has significantly increased both real and personal property tax revenue.



Comparison of Funding Sources by Appropriations Category

Capital funds leverage substantial non-local tax funding sources.

General Fund Summary

The General Fund is the County's primary operating fund. It accounts for all financial resources of the general government except for those required to be accounted for in other funds. The General Fund totals approximately $3.2 billion for the FY 2027 Adopted Budget. Most County revenues flow through the General Fund and fund salaries, benefits, internal service charges, materials and supplies, and other typical operating costs. The General Fund's principal source of revenue is property taxes, which are levied on residential and commercial property and computer equipment, vehicles, machinery, and other personal property. The *General Fund Revenue and Trends* section of this document details each of the General Fund's revenue sources. A brief overview of expenditures is displayed below.

FY 2028 Projected is shown for illustrative purposes only. Personnel is generally escalated by 4.5 percent and operating and maintenance costs are generally escalated by 3 percent, unless more specific details are known. Transfers to other funds and revenues are generally held flat to demonstrate the year-over-year increase in revenues required to fund the County's base budget.

	FY 2024 Actual	FY 2025 Actual	FY 2026 Adopted	FY 2027 Adopted	FY 2028 Projected
Expenditures					
Personnel	$582,418,333	$671,311,640	$737,963,217	$792,233,559	$827,861,718
Operating and Maintenance	1,466,644,385	1,579,418,692	1,735,824,211	1,875,026,544	1,928,141,841
Capital Outlay	1,581,220	1,781,797	6,726,025	783,800	783,800
Other Uses of Funds	459,392,415	529,936,274	513,514,547	550,174,465	550,177,365
Total - Expenditures	**$2,510,036,353**	**$2,782,448,402**	**$2,994,027,999**	**$3,218,218,368**	**$3,306,964,725**

Revenues					
General Property Taxes	$2,128,061,045	$2,283,573,991	$2,445,250,022	$2,677,736,101	$2,677,736,101
Other Local Taxes	217,120,606	223,529,346	222,774,480	229,258,300	229,258,300
Permits, Fees, and Licenses	29,284,973	39,394,130	26,719,851	26,771,861	26,771,861
Fines And Forfeitures	1,728,569	1,827,023	1,514,700	1,514,700	1,514,700
Revenue From Use Of Money And Property	85,844,698	87,839,076	43,247,687	56,655,865	56,655,865
Charges For Services	42,146,872	44,740,911	51,250,018	52,802,932	52,802,932
Miscellaneous Revenue	10,378,984	10,209,159	264,900	369,400	369,400

	FY 2024 Actual	FY 2025 Actual	FY 2026 Adopted	FY 2027 Adopted	FY 2028 Projected
Recovered Costs	13,149,132	14,185,520	10,638,067	12,201,271	12,201,271
Intergovernment - Commonwealth	104,741,301	108,952,079	107,626,239	111,496,240	111,496,240
Intergovernment - Federal	31,106,552	26,551,663	13,522,797	12,932,483	12,932,483
Other Financing Sources	1,564,934	1,938,835	71,219,239	36,479,216	36,209,216
Total - Revenues	**$2,665,127,665**	**$2,842,741,733**	**$2,994,027,999**	**$3,218,218,368**	**$3,217,948,368**

Summary of Adopted Resource Requests

As part of the budget development process, departments proposed prioritized resource requests to be considered for funding in FY 2027. The FY 2027 Adopted Budget is balanced and funded at the real property tax rate of $0.805 and a general personal property tax rate of $4.15, and a personal property tax rate on vehicles of $3.09 in Tax Year (TY) 2026 and $3.00 in TY 2027. The FY 2027 Adopted Budget funds resource requests that address the opening of new capital facilities, support to the Capital Improvement Plan (CIP), FTE authority, Board priorities, and departmental priorities.

Concepts

Resource Requests

Resource requests are requests for additional funding that are detailed for the Board's consideration during budget deliberations. Resource requests are needed to either maintain or enhance a program's service level. Current service level resource requests are different from base budget operating and maintenance adjustments in that resource requests have additional positions for the Board's consideration or are of a significant cost impact needing the Board's authorization. The resource requests shown below are presented in alphabetical order by department.

List of Resource Requests Funded in the Adopted Budget

Department	Department Priority	Request	LTF ($)	Full-Time	Part-Time
Building and Development	Priority 1	Natural Resources Enforcement Team	$482,710	3	0
Clerk of the Circuit Court	Priority 1	Administrative Support	$133,545	1	0
Clerk of the Circuit Court	Priority 2	Judicial Administration & Client Services	$98,445	1	0
Community Corrections	Priority 1	Domestic Violence Team Support	$296,183	2	0
Community Corrections	Priority 2	Eastern Loudoun (Ridgetop) Service Center Probation Support	$267,490	2	0
County Administration	Priority 1	PAC - Communications Manager I – General Services	$159,588	1	0
County Administration	Priority 1	OEI - Learning and Development Supervisor	$164,803	1	0
County Administration	Priority 1	OEMSS - Security Analyst - Safety and Security	$154,488	1	0

Department	Department Priority	Request	LTF ($)	Full-Time	Part-Time
County Administration	Priority 1	RPAMP - Space Planning Support Positions	$346,237	2	0
Courts	Priority 1	Support Staff Resources Needed for New Circuit Court Judge	$336,280	2	0
Family Services	Priority 1	Public Assistance*	$1,095,031	12	0
Family Services	Priority 2	Operations and Contract Compliance Program Administrator	$174,494	1	0
Finance and Procurement	Board Priority	Continue Childcare Fee Reduction Program After Expiration of the American Rescue Plan Act Funding December 31, 2026	$500,000	0	0
Finance and Procurement	Priority 1	Grants Analysts	$287,466	2	0
Fire and Rescue	Capital Facility Opening	Philomont	$2,035,407	13	0
Fire and Rescue	FTE Authority	EMS Cost Recovery Compliance Specialist	$0	1	0
Fire and Rescue	FTE Authority	Fire Training Instructor	$0	1	0
Fire and Rescue	Board Priority	Four Person Engine Staffing	$2,678,790	17	0
Fire and Rescue	Priority 1	Staffing Factor - Operations	$2,855,680	18	0
Fire and Rescue	Priority 2	Fire Marshal's Office	$814,377	4	0
General Services	Capital Facility Opening	Facility Maintenance Staffing	$1,090,542	8	0
General Services	LTF Neutral	Waste Management Operations - Program Administrator II	$0	1	0
General Services	Board Priority	Glass Recycling Expansion	$0	2	0
General Services	Priority 1	Support to Operations	$667,078	6	0
General Services	Priority 2	Public Works Staff	$384,527	3	0
Health	Priority 1	Disease Intervention Specialist	$136,295	1	0
Health	Priority 2	Epidemiologist*	$152,184	1	0

Department	Department Priority	Request	LTF ($)	Full-Time	Part-Time
Health	Priority 3	Healthcare Preparedness Coordinator*	$150,176	1	0
Health	Priority 4	Community Health Worker and Supervisor	$246,214	2	0
Housing and Community Development	Priority 1	Finance Specialist	$140,191	1	0
Housing and Community Development	Priority 2	Housing Finance	$281,205	2	0
Housing and Community Development	Priority 3	HCV Administrative Assistant	$98,095	1	0
Human Resources	Priority 1	ADA Coordinator	$148,960	1	0
Human Resources	Priority 2	Staffing and Compensation Support	$290,001	2	0
Human Resources	Priority 3	Benefits Specialist	$130,425	1	0
Information Technology	Priority 1	DIT - Security Operations Manager	$191,515	1	0
Mental Health Substance Abuse and Developmental Services	Priority 1	Contract Funding for Supervised Living Homes	$650,000	0	0
Mental Health Substance Abuse and Developmental Services	Priority 2	Child and Family Services	$429,429	3	0
Parks, Recreation, & Community Services	FTE Authority	CASA Expansion	$0	0	4
Parks, Recreation, & Community Services	LTF Neutral	Lovettsville Community Center Camp Staff Pooled Hours	$0	0	0
Parks, Recreation, & Community Services	Board Priority	Comprehensive Arts Plan Implementation	$854,926	3	0
Parks, Recreation, & Community Services	Priority 1	Internal Operation Support	$439,646	3	0
Planning and Zoning	Board Priority	Virginia Property Maintenance Code Positions	$810,551	6	0
Planning and Zoning	Board Priority	Zoning Compliance Positions	$422,829	3	0
Planning and Zoning	Priority 1	Senior Planner	$172,013	1	0
Sheriff's Office	Capital Facility Opening	ADC Expansion- CIP- Phase 1 of 2	$5,444,981	26	0

Department	Department Priority	Request	LTF ($)	Full-Time	Part-Time
Sheriff's Office	Board Priority	Medical Director-Adult Detention Center	$408,143	1	0
Sheriff's Office	Priority 1	Training Section	$1,522,979	6	0
Sheriff's Office	Priority 2	School Resource Officers (SRO) - Floaters	$1,824,292	6	0
Transportation and Capital Infrastructure	Priority 1	Administration	$430,011	3	0
Transportation and Capital Infrastructure	Priority 2	Transportation Planning Senior Traffic Engineer	$170,843	1	0
Total			**$30,569,067**	**181**	**4**

Note: Positions denoted with an asterisk (*) were added to the FY 2027 Adopted Budget due to changes at the federal level.

Summary of FY 2027 Appropriated Changes in Fund Balance

The Code of Virginia requires localities to adopt a balanced budget (revenues equal expenditures). An adopted balanced budget can be achieved in a number of ways, including budgeting a use of fund balance (when expenditures exceed revenues) or a contribution to fund balance (when revenues exceed expenditures). The table below outlines the estimated beginning fund balances for the County's major funds, along with the FY 2027 budgeted use of or contribution to fund balance and an estimated ending fund balance.

Fund	Est. Beginning Fund Balance 07/01/2026	Use of Fund Balance	Addition to Fund Balance	Est. Ending Fund Balance 06/30/2027	% Change
General Fund	$748,088,205	$34,000,000	$0	$714,088,205	-5%
School Funds[1]	60,406,674	18,885,638	0	41,521,036	-31%
Other Operating Funds	184,629,887	944,428	30,932,502	214,617,961	16%
Debt Funds	41,476,178	10,000,000	0	31,476,178	-24%
Capital Funds	1,391,130,429	0	42,256,327	1,433,386,756	3%

The decline in fund balance for School Funds is primarily attributable to the anticipated carryover of prior year unspent balances.

The increase in fund balance for Other Operating Funds is primarily attributable to increased fund balance contributions to the Affordable Housing Fund. More detailed information on this fund can be found in the Other Funds section.

The decline in fund balance for Debt Funds includes the use of $10 million of Debt Service Fund Balance for one-time uses. More detailed information on the sustainability of this fund can be found in the Debt Service Fund chapter.

[1] Includes School Operating Fund and Special Revenue Funds.

History of Expenditures by Department[1]

	FY 2024 Actual	FY 2025 Actual	FY 2026 Adopted	FY 2027 Adopted	FY 2028 Projected
Animal Services	$5,049,934	$5,778,624	$7,396,038	$7,633,006	$7,964,063
Board of Supervisors	4,449,762	4,999,753	5,825,950	6,135,007	6,373,213
Building and Development	28,162,836	30,016,664	33,142,456	34,812,387	36,333,503
Clerk of the Circuit Court	6,226,197	6,732,367	7,321,490	7,892,176	8,244,112
Commissioner of the Revenue	11,610,972	12,658,434	14,688,484	15,699,776	16,165,515
Commonwealth's Attorney	8,297,655	9,001,507	10,058,366	10,672,316	11,145,852
Community Corrections	5,068,236	5,524,301	6,739,803	8,352,765	8,721,190
County Administration	16,239,522	19,776,015	22,902,218	26,347,754	27,442,324
County Attorney	6,037,002	5,818,613	5,329,755	5,524,724	5,770,877
Courts	2,120,269	2,425,975	2,778,811	3,216,586	3,356,928
Economic Development	5,774,084	6,425,458	7,137,765	7,624,146	7,938,574
Elections & Voter Registration	3,693,594	4,024,764	4,548,852	4,643,743	4,835,229
Extension Services	698,687	822,009	1,082,039	1,102,715	1,149,626
Family Services	31,571,712	37,203,786	51,524,567	54,336,288	56,596,374
Finance and Procurement	8,640,600	9,762,864	10,673,465	11,954,918	12,432,138
Fire and Rescue	139,595,574	154,321,325	174,885,881	188,602,715	195,672,760
General Services	104,913,420	113,191,545	127,805,341	148,295,833	152,573,429
Health	13,897,385	16,966,971	19,631,001	20,880,102	21,800,836
Housing and Community Development	4,808,601	7,620,541	5,564,571	6,179,044	6,427,090
Human Resources	10,171,952	11,624,656	12,865,967	14,685,929	14,991,155
Information Technology	61,971,916	70,158,775	79,676,644	89,375,508	92,406,076
Library Services	24,237,074	24,841,517	27,613,737	29,197,289	30,445,802
Mapping and Geographic Information	3,947,993	4,156,211	4,454,294	4,604,491	4,756,146
Mental Health, Substance Abuse, and Developmental Services	61,032,899	68,109,821	86,341,837	93,678,264	97,552,283
Non-Departmental	1,707,220,637	1,883,830,296	1,958,262,976	2,081,874,858	2,127,255,309
Parks, Recreation, and Community Services	71,725,359	81,547,536	93,957,385	100,840,751	105,078,237
Planning and Zoning	11,911,754	13,127,408	17,378,065	19,052,541	19,875,257
Sheriff's Office	127,013,781	145,873,841	163,063,420	182,380,430	189,668,843
Transportation and Capital Infrastructure	6,995,890	8,632,562	11,685,756	12,336,575	12,836,547
Treasurer's Office	8,015,296	8,364,836	9,614,136	9,938,934	10,354,396
Youth Services	8,935,760	9,109,424	10,076,930	10,346,798	10,801,041
County Total	**$2,510,036,353**	**$2,782,448,402**	**$2,994,027,999**	**$3,218,218,368**	**$3,306,964,725**

[1] This table reflects expenditures in the General Fund.

History of FTE by Department[1]

	FY 2024 Actual	FY 2025 Actual	FY 2026 Adopted	FY 2027 Adopted	FY 2028 Projected
Animal Services	42.00	48.00	55.00	55.00	55.00
Board of Supervisors	0.00	0.00	0.00	0.00	0.00
Building and Development	207.80	212.00	211.00	214.00	214.00
Clerk of the Circuit Court	52.00	54.00	57.00	59.00	59.00
Commissioner of the Revenue	90.93	90.93	96.93	96.93	96.93
Commonwealth's Attorney	59.00	60.00	62.00	62.00	62.00
Community Corrections	42.33	45.33	48.33	52.33	52.33
County Administration	105.60	126.13	145.13	153.13	153.13
County Attorney	27.00	27.00	28.00	28.00	28.00
Courts	12.00	12.00	12.00	14.00	14.00
Economic Development	28.00	31.00	33.00	33.00	33.00
Elections and Voter Registration	15.00	17.00	19.00	19.00	19.00
Extension Services	5.00	6.00	7.00	7.00	7.00
Family Services	246.53	274.53	308.00	321.00	321.00
Finance and Procurement	58.00	62.00	65.00	67.00	67.00
Fire and Rescue	759.06	790.06	847.06	902.06	902.06
General Services	190.35	203.58	217.58	237.58	237.58
Health	116.00	127.00	134.00	139.00	139.00
Housing and Community Development	35.00	36.00	39.00	43.00	43.00
Human Resources	46.00	50.00	51.00	55.00	55.00
Information Technology	119.47	119.47	119.60	120.60	120.60
Library Services	224.81	226.81	227.81	227.81	227.81
Mapping and Geographic Information	26.00	26.00	26.00	26.00	26.00
Mental Health, Substance Abuse, and Developmental Services	461.57	481.57	499.04	502.04	502.04
Non-Departmental	0.00	0.00	0.00	0.00	0.00
Parks, Recreation, and Community Services	692.57	749.71	766.91	776.91	776.91
Planning and Zoning	80.00	88.00	98.00	108.00	108.00
Sheriff's Office	852.27	875.47	898.47	937.47	937.47
Transportation and Capital Infrastructure	95.00	93.00	99.00	100.00	100.00
Treasurer's Office	56.00	58.00	60.00	60.00	60.00
Youth Services	67.54	68.01	68.01	68.01	68.01
County Total	**4,812.83**	**5,058.60**	**5,298.87**	**5,484.87**	**5,484.87**

[1] This table reflects all authorized County Government FTE, including all Funds.

Long Range Planning

Loudoun County identifies strategic trends and infrastructure issues with a variety of tools.

Fiscal Planning and Budgeting

Recognizing the critical relationship between development and service demands, the County has sought to offset the negative fiscal impacts of residential development by encouraging a fiscally favorable balance between residential and non-residential development. Phasing growth based on the availability of adequate public facilities and distributing the costs of growth more equitably have also been at the forefront of the County's strategy. Over the years, and to this end, the County has implemented an integrated approach to fiscal and land use planning. The strategy begins with the comprehensive plan, which includes the General Plan and the Countywide Transportation Plan. The General Plan establishes the development potential of the County by planning the residential and non-residential uses of the land.

The Board of Supervisors' Fiscal Policy provides accounting, budgeting, and financial management directives that, among other things, place limits on how much long-term debt the County will incur to build public facilities. Within the parameters of those documents, the delivery of services and public facilities is planned.

The County's **Fiscal Impact Committee**, comprised of citizen representatives supported by County and Loudoun County Public Schools staff, reviews forecasts of residential and non-residential development, population, and household sizes.

The **Program Review** describes the major programs and activities for each department with a description of the current service level of each of those activities; it is presented to the Board of Supervisors at a minimum every four years. Based on the County's projected population growth and the adopted service levels, a ten-year **Capital Needs Assessment** is prepared to project the type and number of capital facilities that will be needed to service the community. With that longer view in mind, the Board then adopts a six-year **Capital Improvement Program** that schedules the financing and construction of public facilities. Actual and projected capital expenditures are reviewed and approved annually, concurrently with and informed by Board consideration and approval of the County operating budget. The adopted budget reflects the estimated and projected costs of implementing the Capital Improvement Program for two fiscal years, with appropriations made for only the first year of the biennium.

This management strategy has enabled the County to anticipate and to plan for the fiscal impacts of growth, providing built-in protection for the taxpayers. The County intends to continue using cash to pay at least 10 percent of the cost of new facilities, thereby reducing the cost of long-term financing.

Fiscal Planning and Budgeting Policies

1. The County is best served by seeking to meet the goals of an effective fiscal policy as stipulated in the Board of Supervisors' Fiscal Policy originally adopted December 17, 1984, and as subsequently amended.
2. The County seeks to maintain an affordable real-property tax rate by balancing, on a timely basis, residential and non-residential development in conformance with the overall policies of the Revised General Plan.
3. The County will seek further revenue diversification, which will increase fiscal stability, and thereby mitigate tax burdens on Loudoun County taxpayers.
4. The County will seek the provision of necessary public facilities, utilities, and infrastructure concurrent with development through a variety of mechanisms such as proffers, user fees, impact fees, and special taxing districts.
5. Local funding sources, either as "pay-as-you-go" funding or bonded indebtedness, will continue to be a major funding source for County public facilities and services.
6. The County will direct the majority of public investments into currently developed communities, towns, and areas of the County where development is planned according to the Comprehensive Plan and in observance of service standards and levels as outlined in the Program Review.
7. The County will consider proposals of the timely dedication of land, cash, and in-kind assistance from the development community in the provision of needed and/or mandated (by federal or state government) public facilities identified in the adopted Comprehensive Plan, the Program Review, area management plans, the Capital Improvement Program, or the Capital Needs Assessment Document.
8. Consistent with the Va. Code Section 15.2-2283 and 15.2-2284, the County will consider the adequacy of public facilities and services when reviewing any zoning application for more intensive use or density. To fairly implement and apply this policy, the County will consider the following:
    a) existing facilities;
    b) facilities included in the capital improvement program;
    c) the ability of the County to finance facilities under debt standards established by its fiscal policies;
    d) service level standards as outlined in the Program Review and the effect of existing and approved development, and the proposed development, on those standards;
    e) service levels on the existing transportation system; the effect of existing and approved development and the proposed development of those service levels and the effect of proposed roads which are funded for construction;
    f) commitments to phase the proposed development to the availability of adequate services and facilities; and
    g) other mechanisms or analyses as the County may employ that measure the adequacy of such services and facilities for various areas or that measure the County's ability to establish adequate services and facilities.

9. The County expects that proposals of public facility and utility assistance by residential developers would be in conjunction with any rezoning request seeking approval of densities above existing zoning.
10. The County will seek to ensure that an equitable and a proportionate share of public capital facility and infrastructure development costs that are directly attributable to a particular development project will be financed by the users or beneficiaries.
11. The County will fund the balance of capital facilities expenditures and operational service expenditures which are not financed through other mechanisms, according to existing countywide Fiscal Policies adopted by the Board of Supervisors on December 17, 1984, or as subsequently amended.

Fiscal Policy

County of Loudoun, Virginia
Board of Supervisors
Fiscal Policy
Originally adopted December 17, 1984
Revised July 15, 2025

Statement of Policy Purpose

The County of Loudoun (the "County") and its governing body, the Board of Supervisors (the "Board"), is responsible to the County's citizens to carefully account for all public funds, to manage County finances wisely and to plan for the adequate funding of services desired by the public, including the provision and maintenance of facilities. Promoting fiscal integrity is an important priority in the County. The following policies and guidelines establish the framework for the County's overall fiscal planning and management.

These polices will be reviewed and, if necessary, updated annually. Any substantive changes will be presented to the Board for approval.

Policy Goals

This fiscal policy is a statement of the guidelines and goals for the financial management practices of the County. Effective fiscal policy:

- Contributes significantly to the County's ability to insulate itself from fiscal crisis,
- Attempts to maintain a diversified and stable economic base,
- Enhances short- and long-term financial integrity by helping to achieve the highest credit and bond ratings possible,
- Maintains continuous communication about the County's financial condition with bond and credit rating institutions and the overall financial community,
- Promotes long-term financial stability by establishing clear and consistent guidelines,
- Directs attention to the total financial picture of the County rather than single issue areas,
- Promotes the view of linking long-term financial planning with day-to-day operations,
- Provides the Board and the citizens a framework for measuring the fiscal impact of government services against established fiscal parameters and guidelines, and
- Maintains effective internal controls designed to safeguard the County's assets, reduce loss, promote efficient and effective operations, and keep accurate financial records.

To these ends, the following 12 fiscal policy goal statements are presented.

1. Operating Budget Policies

- The operating budget is intended to implement the Board's service priorities and vision for the County.
- The budget is a plan for raising and allocating resources. The objective is to enable service delivery with allocated resources. Services must be delivered to the residents,

business owners, and other customers that will meet real needs as efficiently and effectively as possible.

- The County's goal is to pay for all recurring expenditures with recurring revenues and to use nonrecurring revenues for nonrecurring expenditures.
- It is important that a positive unassigned fund balance in the general fund and a positive cash balance in all governmental funds be shown at the end of each fiscal year.
- When deficits appear to be forthcoming within a fiscal year, spending during the fiscal year must be reduced sufficiently to create a positive unassigned fund balance and a positive cash balance.
- Where possible, the County will integrate performance measurements and productivity indicators within the budget. This integration should be done in an effort to continue to improve the productivity of County programs and employees. Productivity analysis is a dynamic part of County Administration.
- The budget must be structured so that the Board and the general public can readily establish the relationship between revenues, expenditures, and the achievement of service objectives. The budget document will include data that illustrates the link and impact of resource investments on service delivery.
- The individual agency budget submissions must be prepared with the basic assumption that the Board will always attempt to minimize the local tax burden.
- The County will avoid tax anticipation borrowing and maintain adequate fiscal reserves in accordance with the fund balance policy.
- The County will annually seek the Government Finance Officers Association (GFOA) Distinguished Budget Presentation Award.

Budgetary review by the Board will focus on the following basic concepts:

Staff Levels

The number and distribution of staff will be reviewed and evaluated in the context of service delivery. The Board will seek to limit staff increases to areas where the Board has prioritized program growth and program performance measures and indicators support the addition of staff; and to reduce staff, if needed, where this can be done without adversely affecting approved service levels. When feasible and cost effective, contracting out services will be considered.

Capital Construction

Emphasis will be placed upon continued reliance on a viable level of "pay-as-you-go" capital construction to fulfill needs in a Board-approved comprehensive Capital Improvement Program. The Board will attempt to fund not less than 10% of the total cost of the Capital Improvement Program through the use of local tax funding, fund balance, and other recurring local revenue sources.

Program Expansions

Proposed program expansions above existing service levels must be submitted as resource requests requiring detailed justification. Every proposed service level enhancement will be scrutinized on the basis of its relationship to the health, safety, and welfare of the community to include analysis of long-term fiscal impacts. Emphasis will be placed upon areas identified as high priorities by the Board.

New Programs

Proposed new programs must also be submitted as resource requests requiring detailed justification. New programs will be evaluated on the same basis as program expansion to include analysis of long-term fiscal impacts. Emphasis will be placed upon areas identified as high priorities by the Board.

Existing Service Costs

The justification for base budget program costs will be a major factor during budget development. Program service delivery effectiveness will be represented by performance measures. Those measures will be regularly reviewed.

Fiscal Guidelines

- The level of proposed investment in services will be evaluated within the context of the Board's vision for service delivery and established programmatic priorities. In all program areas, administrative overhead costs should be kept to the absolute minimum.
- Functions should be reviewed in an effort toward reducing duplicative activities within the County government and the autonomous and semiautonomous agencies, which receive appropriations from the governmental funds.
- The budget will provide for adequate maintenance of capital, plant, and equipment and for its orderly replacement.
- The County will maintain budgetary controls at the Department level within the general fund, although more restrictive controls may be instituted as fiscal circumstances, management prerogatives, and programmatic requirements dictate.
- The County will also maintain control between major categories of expenditures (i.e., personnel, operations and maintenance, capital outlay, etc.).
- The County Administrator will provide quarterly reporting to the Board on the County's financial condition and debt position.
- The County will, at a minimum, every four years, produce a report (Program Review) describing major programs including mandates (federal, state, local or other), budgetary information, staffing, and other details, and will provide this report for public review.
- The County will remain current in payments to its employee and volunteer retirement systems.
- The County will endeavor to comply in all material respects with both funded and unfunded mandates.
- Capital projects in the County government and schools will be reviewed and reconciled annually as part of the fiscal year-end closing process. A capital project will be capitalized in the financial records of the County in accordance with Generally Accepted Accounting

Principles. A capital project will be closed within two years after project completion (opening or occupancy) unless mitigating circumstances exist. Subsequent funding after project closing will be addressed as part of the annual appropriation process for the County or Schools or through a separate Board action.

- The County will annually update a long range (three-five year) financial forecasting system which will include projections of revenues, expenditures and future costs and financing of capital improvements, and other projects that are included in the capital budget and the operating budget.
- The County will annually update a financial trend monitoring system which will examine fiscal trends from the preceding five years (trends such as revenues and expenditures per capita and adjusted for inflation, liquidity, operating deficits, etc.). Where possible, trend indicators will be developed and tracked for specific elements of the County's fiscal policy.
- The County will regularly update a series of financial and planning tools to evaluate long-term land use, fiscal, and demographic issues. Those tools include: 20-year growth projections, Capital Intensity Factor (CIF), Program Review, and the 10-Year Capital Needs Assessment (CNA) document. The review and update cycle of these tools is as follows:

Tool	Review Process *(All subject to adoption by Board of Supervisors)*	Update Cycle
Capital Intensity Factor	Fiscal Impact Committee	Minimally every 4 years, preferably every 2 years
20-Year Growth Projections	Fiscal Impact Committee	Biannual Update of Inputs
10-Year Capital Needs Assessment (CNA)	Fiscal Impact Committee, Planning Commission	Every 4 years, on 2nd year of Board Term

2. Debt Management Policies

- The County will not fund current operations from the proceeds of borrowed funds.
- The County will confine long-term borrowing and capital leases to capital improvements, projects, or equipment that cannot be financed from current financial resources.
- The County will analyze market conditions prior to debt issuance to determine the most advantageous average life. When financing capital improvements, or other projects or equipment, the County will repay the debt within a period not to exceed the expected useful life of the project or equipment. Debt related to equipment ancillary to a construction project may be amortized over a period less than that of the primary project.
- The County will not utilize swaps (i.e., interest rate exchange agreements) as a method of financing debt until such time as the Board of Supervisors adopts a specific policy on swap practices.
- The County will attempt to repay debt using a level principal repayment structure.
- The County may, at its discretion, on a project-by-project basis, subject to a public hearing of the Board on the proposed financing if applicable, use alternative financing mechanisms to the issuance of general obligation (GO) bonds that require a referendum.

Instances where the use of alternative financing mechanisms may be appropriate include but are not limited to projects that have a short useful life and are replaced frequently, such as information technology software, equipment, and vehicles; projects that are supported by a revenue source such as the Landfill; instances where the timing of voter referendum is not feasible to begin a project; and for purchase and/or construction of government administration buildings. These alternative financing mechanisms include but are not limited to: the Virginia Public School Authority (VPSA), the Virginia Resources Authority (VRA), revenue bonds (for revenue supported activities), lease revenue bonds, certificates of participation, letters of credit, commercial paper, private placements, lease purchase agreements, master lease agreement, additional appropriation-based financing or other financing mechanisms that may be created. The policy is to use debt financing in general for total project costs of a minimum of $200,000 and above.

- The County will explore the cost effectiveness of issuing refunding bonds when market conditions are such that a minimum of 3% net present value savings in debt service payments will be achieved unless circumstances exist that creates additional benefits to the County such as the elimination of burdensome covenants.
- The County may assist other governmental agencies and volunteer fire and rescue companies within the geographic boundaries of the County through a revolving loan program. These loans will bear interest at the AAA/Aaa tax exempt rate at the time the loan is approved by the Board. Such loans will be made from and remain an asset of the General Fund.
- The County will annually calculate target debt ratios and include those ratios in the review of financial trends.
- The County's debt capacity shall be maintained within the following primary goals:
  - Net debt as a percentage of estimated market value of taxable property should not exceed 3.0%.
  - Net debt per capita as a percentage of income per capita should not exceed 8.0%.
  - Debt service expenditures as a percentage of governmental fund expenditures should not exceed 10%.
  - Ten-year debt payout ratio should be above 60%.
- An annual debt issuance guideline will be used to approximate the annual amount of debt issuance that will ensure the County remains compliant with the debt ratio thresholds described above for the six-year CIP. The annual debt issuance guideline will be adopted from time to time through the Appropriations Resolution.
- The annual debt issuance guideline encompasses all traditional County infrastructure projects (e.g., public safety facilities, schools, libraries, equipment, transportation, etc.). Not included in the annual debt issuance calculations are issuances for projects supported by a specific revenue source, purchase of assets demonstrated to produce net present value savings, major economic development/regional partnership projects (e.g., rail), Community Development Authorities and Special Assessment Districts, etc. When appropriate, these debt offerings will be factored into the overall debt ratios and financial condition of the County.
- The County recognizes the importance of considering overlapping debt in analyzing its overall financial condition. The County will analyze the impact of overlapping debt, both existing and proposed, in compliance with Section 11 of this policy. When considering

the impact of existing and proposed overlapping debt, staff will conduct a detailed analysis to evaluate effects of any existing and proposed overlapping debt on taxpayers.
- The County shall comply with all U.S. Internal Revenue Service rules and regulations regarding issuance of tax-exempt debt, including arbitrage rebate requirements for bonded indebtedness and with all Securities and Exchange Commission requirements for continuing disclosure of the County's financial condition as well as all applicable Municipal Securities Rulemaking Board requirements.
- The County shall comply with all requirements of the Public Finance Act as set forth in Title 15.2, Chapter 26 of the Code of Virginia and with any other legal requirements regarding the issuance of bonds or its debt issuing authorities.

3. Revenue Policies
- The County will maintain and monitor a diversified and stable revenue structure to shelter it from short-run fluctuations in any one revenue source.
- The County will estimate its annual revenues by an objective, analytical process.
- The County will develop, and annually update, an Indirect Cost Allocation Plan to document overhead costs for all County agencies to aid in the recovery of indirect costs incurred by the County to support and administer Federal and State grant programs and to provide indirect costs information for a County-wide user fee study.
- The County, where possible, will institute user fees and charges for specialized programs and services in the County. Rates will be established to recover operational as well as overhead or indirect costs and capital or debt service costs. Fees will be regularly reviewed and updated and where applicable, determine if pre-established recovery goals are being met.
- The County will follow an aggressive policy of collecting tax revenues. The annual level of uncollected current property taxes should not exceed 3% unless caused by conditions beyond the control of the County.
- The County should routinely identify intergovernmental aid funding possibilities. However, before applying for or accepting intergovernmental aid, the County will assess the merits of a particular program as if it were funded with local tax dollars. Local tax dollars will not be used to make up for losses of intergovernmental aid without first reviewing the program and its merits as a resource request. Therefore:
    - All grant applications, prior to submission, must be approved by the County Administrator or designee upon recommendation by the Budget Office.
    - Grants may be accepted only by the Board.
    - No grant will be accepted that will incur management and reporting costs greater than the grant amount.
- The County will accrue and designate all land use valuation rollback resulting from a granted rezoning in the Capital Project Fund. These funds are to be dedicated for projects within the impacted subarea of development unless the Board, after considering current fiscal conditions, approves an alternative designation of the funds.

4. Non-Tax Accounts Receivable Policies

- The County will use proper internal controls to protect its non-tax accounts receivable reflecting amounts owed the County from people, firms, and other governmental entities.
- The County will record receivables in a timely manner and provide for appropriate collection methods.
- All non-tax accounts unpaid after one year must be written off, if deemed uncollectible unless otherwise provided for under law or by written agreement.

5. Investment Policies

- The County will maintain an investment policy based on the GFOA Model Investment Policy and the amended and adopted Investment Policy of the Treasurer, which was last amended in December 2015 by the County's Finance Board.
- The County will conduct an analysis of cash flow needs on an annual basis. Disbursements, collections, and deposits of all funds will be scheduled to ensure maximum cash availability and investment potential.
- The County will, where permitted by law, pool cash from its various funds for investment purposes.
- The County will invest County revenue to maximize the rate of return while preserving the safety of the principal at all times. The prudent person rule shall apply in investing of all County funds.
- The County will regularly review contractual, consolidated banking services.
- The County will invest proceeds from general obligation bonds with an emphasis on minimizing any arbitrage rebate liability.

6. Accounting, Auditing, and Financial Reporting Policies

- The County will establish and maintain a high standard of accounting practices in conformance with uniform financial reporting in Virginia and Generally Accepted Accounting Principles (GAAP) for governmental entities as promulgated by the Governmental Accounting Standards Board (GASB).
- The County's financial accounting system will maintain records on a basis consistent with accepted standards for local government accounting (according to GASB).
- The County's annual financial reports will present a summary of financial activity by governmental funds and all funds, respectively.
- The County's reporting system will also provide monthly information on the total cost of specific services by type of expenditure and revenue, and if necessary, by fund.
- The County will retain the right to perform financial, compliance and performance audits on any entity receiving funds or grants from the County.
- The County will maintain policies and procedures in conformance with Title 2, Part 200, Code of Federal Regulations (2CAFR 200) – Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards.
- The County will engage an independent firm of certified public accountants to perform an annual financial and compliance audit according to Generally Accepted Auditing Standards (GAAS) and will have these accountants publicly issue an opinion which will be incorporated in the Annual Comprehensive Financial Report.

- The Board’s Finance/Government Operations and Economic Development Committee (FGOEDC) will serve as the Board's Audit Committee and is responsible for approving the selection of the independent firm of certified public accountants (the Board’s external auditor) to perform the annual financial and compliance audit, defining the audit scope and receiving the report of the auditor. The County will also maintain an ongoing internal audit function for the performance of fiscal, programmatic, and operational audits, as determined by the Board’s FGOEDC Committee.
- The County will annually seek the GFOA Certificate of Achievement for Excellence in Financial Reporting.

7. Capital Budget Policies

- The County will make all capital improvements in accordance with an adopted Capital Improvements Program (CIP).
- The County will develop a multi-year plan for capital improvements (CIP), which considers the County's development policies and indicators of need (i.e., Capital Facility Standards) and links development proffers resulting from conditional zonings with the capital plan.
- The County will enact a biennial capital budget based on the multi-year Capital Improvements Program.
- The County will coordinate development of the capital budget with development of the operating budget. Future operating costs associated with new capital projects will be projected and included in operating budget forecasts.
- The County will identify the "full-life" estimated cost and potential funding source for each capital project proposal before it is submitted to the Board for approval.
- The County will determine the total cost for each potential financing method for capital project proposals.
- The County will identify the cash flow needs for all new projects and determine which financing method best meets the cash flow needs of the project.
- When restricted, committed and assigned amounts are available, restricted funds (such as proffers, grants, NVTA and bond proceeds) will be spent first. When more than one category of restricted funds is available for any aspect of a project, the more restrictive of the available funds shall be spent first.
- As part of the capital project closeout process, unspent local tax funding will be transferred to the County or School capital project contingency account to be used at the discretion of the Board of Supervisors. Unspent restricted assets, such as bond proceeds, are required to be reviewed by the Controller’s Office prior to closeout. Budget transfers between contingency accounts and other accounts within the capital budget to appropriated capital projects or new board initiated projects, as needed, are permitted under staff authority to execute the county’s capital plan. Transfers or appropriations that increase or decrease the overall appropriation level of capital funds requires approval by the Board of Supervisors.
- When recurring programs (such as Sidewalk and Trail Program, Intersection Improvement Program, etc.) are budgeted in the capital projects fund, budget transfers from the main program (parent) account to related project sub-accounts are permitted under staff authority to execute the county’s capital plan. These budget transfers do not increase or

decrease the overall appropriation level of the recurring program or the overall appropriation level of the capital fund.

- When a project is subject to capital standards, the capital project should first be approved in the Capital Needs Assessment prior to proposal in the Capital Improvement Plan.
- The County will maximize the use of non-debt capital financing sources through the use of alternate sources of funding, including proffers, grants, and other sources of non-local tax funding revenues. The County will attempt to fund not less than 10% of the total cost of the Capital Improvement Program from local tax funding, fund balance and other recurring local revenue sources. The 10% cash provided may be applied equally to all projects or only to specific projects.

8. Asset Maintenance, Replacement, and Enhancement Policies

- The operating budget will provide for minor and preventive maintenance.
- The capital asset preservation budget will provide for the rehabilitation, preservation or emergency repair of major components of existing County and School facilities and for the replacement of computer systems which requires a total expenditure of $10,000 or more and has a useful life of ten years or more.
- The appropriations to the fund will be targeted to the capital asset value of the total County and School physical plant, buildings and improvements (exclusive of land and mobile equipment).
- The capital projects budget will provide for the acquisition, construction, total replacement or improvement of transportation and transit related projects, and physical facilities to include additions to existing facilities which increase the square footage useful life or asset value of that facility.
- The County will capitalize certain classes of intangible assets per the following guidelines:
- Easements and rights-of-way with a value greater than $1,000,000 and an expected life of three years or more.
- Internally generated computer software with a value greater than $1,000,000 and an expected useful life of three years or more. Staff time must be 100% dedicated to a specific project for internal costs to be considered in the calculation of the capitalization threshold.
- Replacement of major enterprise technology systems that cost more than $500,000 per system will be included in the planning for asset replacements in the Capital Improvement Program.
- The County will capitalize Subscription-Based Information Technology Arrangements intangible, right-to-use assets with a value greater than $100,000 and an expected life of five years or more.
- The County will capitalize all other tangible and intangible capital assets with a value greater than $10,000 and an expected life of five years or more.

9. Risk Management Policies

- The County will protect its assets by maintaining adequate insurance coverage through either commercial insurance or risk pooling arrangements with other governmental entities.
- The County will reserve an amount adequate to insulate itself from predictable losses when risk cannot be diverted through conventional methods.

10. Fund Balance Policy: County and Schools

The County has five categories of Fund Balance for financial reporting: 1) Nonspendable; 2) Restricted; 3) Committed; 4) Assigned; and 5) Unassigned. These categories are defined below.

1) **Nonspendable Fund Balance:** Nonspendable Fund Balance in any fund includes amounts that cannot be spent because the funds are either not in spendable form such as prepaid expenditures and inventories or legally contracted to be maintained intact such as principal of a permanent fund or capital of a revolving loan fund. Nonspendable fund balance is not available for appropriation.
2) **Restricted Fund Balance:** Restricted Fund Balance in any fund includes amounts that are subject to externally enforceable legal restrictions set by creditors, grantors, contributors, federal or state law, or adopted policies regarding special revenue funds.

The following three categories of Fund Balance: 1) Committed 2) Assigned and 3) Unassigned are considered Unrestricted Fund Balance.

General Fund Unrestricted Fund Balance: The Unrestricted Fund Balance policy for the General Fund pertains to both the County and Schools.

- The committed portion of Unrestricted Fund Balance at the close of each fiscal year shall be equal to no less than 10% of operating revenues of the General Fund. This portion of Unrestricted Fund Balance is not maintained for funding recurring expenditures during the normal business cycle and is to be used only in the event of unexpected and non-routine circumstances.
- A withdrawal of the Unrestricted Fund Balance resulting in the remaining balance at less than the targeted 10% level of revenue may be considered if the total projected general fund revenues reflect a decrease from the total current year estimated general fund revenues of at least 3% or in the event of a federally declared natural or national disaster/emergency. Any withdrawal of this type shall be approved by the Board.
- If circumstances require the use of the Unrestricted Fund Balance to a point below the targeted level, the County will develop a plan during the annual appropriations process to replenish the Unrestricted Fund Balance to the 10% targeted level over a period of not more than three (3) years.

3) **Committed Fund Balance:** Committed Fund Balance includes amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Board. Board adoption of the Fiscal Policy commits the 10% targeted level of Unrestricted Fund Balance. Formal Board action includes the annual adoption of the

appropriations resolution and subsequent budget amendments. As stated in the appropriations resolution, encumbrances remaining at year-end will be carried over to the next fiscal year. Formal action to commit fund balance must be taken prior to the end of the fiscal year.

4) **Assigned Fund Balance**: Assigned Fund Balance includes amounts that reflect an intended or planned use of fund balance for specific purposes but are neither restricted nor committed. Assigned Fund Balance does not require formal action of the Board and may be assigned by the County Administrator or his designee. Assigned Fund Balance could be used to fill the gap between projected revenues and expenditures in the following fiscal year.
5) **Unassigned Fund Balance:** Unassigned Fund Balance represents the residual fund balance remaining after non-spendable, restricted, committed, and assigned fund balance is deducted. Unassigned Fund Balance is available for appropriation by the Board with first priority given to nonrecurring expenditures or as an addition to fund balance. The General Fund is the only fund that can have a positive Unassigned Fund Balance.

Revenue Stabilization Fund (RSF). The RSF is established for the purpose of mitigating revenue shortfalls within a fiscal year directly attributable to real and business tangible personal property taxes on the data center industry. The target size of the RSF is 10 percent of real and business tangible personal property tax revenue associated with the data center industry. Upon recommendation from staff, the Board of Supervisors may access the RSF should actual business personal property tax revenue be below forecast. The RSF will be refilled and replenished with year-end unassigned fund balance or an appropriation of business tangible personal property tax on computer equipment revenue as part of the adopted budget. When the RSF is accessed, the County will develop a plan during the annual budget development process to replenish it over a period of not more than three (3) fiscal years.

The order of spending resources: When an expenditure is incurred for purposes for which restricted, committed, assigned and unassigned amounts are available for use, the County considers restricted fund balance to be spent first, then committed fund balance, then assigned fund balance, and lastly unassigned fund balance.

Self-Insurance Fund: The fund balance policy for the Self-Insurance Fund pertains to both the County and Schools. The fund balance in the Self-Insurance Fund at the fiscal year end will be maintained as a percentage of expenditures in each component of the fund. The percentage will be established annually by professional judgment based on funding techniques utilized, loss records, and required retentions. The County will select an external agency for this annual review.

11. Criteria Policy for Establishment of Special Assessment Districts

A “special assessment” or “special assessment district” refers to any of the various mechanisms in the Code of Virginia that allows the County to impose a special ad valorum tax or special assessment for local improvements on property within a defined area, for the purpose of financing public improvements or services within the district. Examples include, without limitation, Service Districts, Community Development Authorities, and Transportation Improvement Districts.

The following criteria are set forth as the minimum requirements that must be satisfied for the Board to lend its support to the creation of a special assessment district. As such, proposed districts that cannot meet these minimum requirements will have their requests for support rejected by the Board on the basis that it endangers the County's own credit worthiness in the financial markets. The Board takes this opportunity to emphasize that other considerations also may apply. In effect, these criteria are set forth only as the minimum standards for the establishment of a district. However, the ability to meet the criteria described below will carry considerable weight with the Board.

The County has determined that under certain circumstances, the creation of a Special Assessment District (a "District") can further the economic development/quality and growth management/redevelopment goals of the County. Of equal importance is that the County's financial assets not be at risk. These guidelines are designed to ensure that the County goals are met.

Limited to Projects which Advance County's Plans. The proposed project or purpose for establishing a District must advance the County's adopted comprehensive plan or provide greater benefit to the ultimate property owners utilizing the proposed facilities and be in line with the Board's Vision and Strategic Goals.

Public Improvements to be financed by the Project or District must be related to and guided by standards and policies approved by the Board as identified in the Capital Improvements Program, Capital Needs Assessment Document, or the County's Adopted Capital Facility Standards.

The County would not expect to utilize special assessment debt to finance typical project infrastructure costs, (e.g., utilities, normally proffered improvements, or subdivision/site plan requirements) absent a compelling (a) commercial or economic development interest, (b) benefit to the broader community, or (c) public health or safety concern.

Description of Project and District Petition. The petitioners shall submit for County staff review, prior to petitioning the County Board of Supervisors for action, a plan of the proposed District. This submission must include as a minimum:

- The special assessment district's proposed petition to the County Board of Supervisors;
- A map of district boundaries and properties served;
- A general development plan of the district;
- Proposed district infrastructure including probable cost;
- A preliminary feasibility analysis showing project phasing, if applicable, and projected land absorption with the district;
- A schedule of proposed special assessment district financings and their purpose;
- A discussion of the special assessment district's proposed financing structure and how debt service is paid;
- The methodology for determining special assessments within the district;

- Background information on the developers and/or property owners in the current proposal or previous involvement with other districts in Virginia and elsewhere; and,
- Level of equity to be provided and when such equity would be incorporated into the proposed Plan of Finance.

The petitioner shall respond to and incorporate changes to the proposed petition requested by staff. Failure to incorporate changes will result in a staff recommendation against the creation of the special assessment district.

The petition must address:

- Protections for the benefit of the County with respect to repayment of debt, incorporation, and annexation;
- Protections for the benefit of individual lot owners within the District's boundaries with respect to foreclosure and other collection actions should their respective assessment be paid or is current; and
- Payment of the County's costs related to the administration of the District, specifically including the County's costs to levy and collect any special tax or assessment.

Consistency with County Planning Documents. The petitioner must demonstrate how the project or purpose for establishing the District is/or could be consistent with the Comprehensive Plan, Zoning Ordinance, and if applicable, the Capital Improvement Program, the Capital Needs Assessment and the Adopted Capital Facility Standards, or other facility planning documents approved by the Board of Supervisors.

Impact on County Credit Rating. The District, either individually or when considered in aggregate with previously approved Districts, shall not have a negative impact upon the County's debt capacity or credit rating. The majority of this debt will be considered and treated as overlapping debt. In order to protect the County's long-term fiscal stability and credit standing, all proposed debt must be structured to be non-recourse to the County and with an acceptable margin of debt service coverage and other credit support (i.e., a special assessment back stop). Exemptions to this policy may be made if the projects to be financed directly replace capital projects in the current Capital Improvement Program, or the Capital Needs Assessment Document. Maturities of special district debt shall approximate the average life of the assets being financed, the forecasted revenue, and the underlying development plan for the special assessment debt on a case-by-case basis.

It is the intent of the County that this debt be self-supporting. Debt is deemed self-supporting when sufficient revenue is generated for at least three consecutive years to pay all of the required debt payments. For purposes of the County's debt capacity calculation including the annual debt issuance guideline and the three key debt ratios (net debt as a % of estimated market value, net debt per capita and debt service expenditures ratios) noted in Section 2 of this policy, the County intends to exclude self-supporting debt that is structured to be non-recourse to the County.

Due Diligence. A due diligence investigation performed by the County or its agents must confirm petition information regarding the developers, property owners, and/or underwriting team, and the adequacy of the developer's or property owner's financial resources to sustain the project's proposed financing. Developers will be required to grant full access to all accounting records, project pro formas and any other required financial information for any project involving a financial partnership with the County.

Project Review and Analysis. A financial and land use assessment performed by the County or its agents must demonstrate that the District's proposed development, financial, and business plan is sound, and the proposed project or purpose for establishing a District is economically feasible and has a high likelihood of success. The analysis must confirm why establishing a District is superior to other financing mechanisms from a public interest perspective.

Petitioner to Pay County Costs. The County may require that the Petitioner agree to cover the County's costs for all legal, financial, and engineering review and analysis and to provide a suitable guaranty for the payment of these costs. The County's estimated costs shall be itemized to show anticipated engineering, legal, and financial, consultant and other fees.

Credit Requirements. For debt obligations to be issued by the District to finance or refinance the infrastructure of the project:

- The Board will approve a district debt issuance only after it has been determined the issue can reasonably be expected to receive an investment grade rating from a nationally recognized statistical rating agency (i.e., Fitch, Moody's, Standard and Poor's), including investment grade ratings derived from a credit enhancement (i.e., letter of credit, bond insurance, etc.) or demonstrate some other form of financial safeguard to the bond purchasers. Or
- The Board will approve a district debt issuance only after it has been determined that the district has acquired a credit enhancement device sufficient to guarantee payment of lease payments or debt service in the event of default until such time as the district's outstanding debt as compared to its estimated taxable assessed value is estimated not to exceed 10%. Or
- The District limits its issuance of obligation to minimum $100,000 denominations, thereby attracting only bondholders recognizing the inherent risk.

Requirement for Approved Financing Plan. The ordinance creating the District shall include a provision requiring the District to submit a financing plan to the County for approval prior to the issuance of any District obligations. Such financing plan shall include details specific to the financing proposed to be undertaken, including, but not limited to, more complete and detailed information of those applicable items required under the section entitled Description of Project and District Petition above.

No Liability to County. The County shall not pledge either its full faith and credit or any moral obligation toward the repayment of principal and interest on any debt issued by the district. The project must pose no direct or indirect liability to the County, and the developer and/or District must reasonably provide for the protection of the County from actions or inactions of the District as specified in the letter of intent at the time of petition. All documents relating to the project shall reflect the fact that the County has no financial liability for present or future improvements connected with the project whether or not contemplated by the ordinance creating the District or as that ordinance may be amended. The ordinance will contain a provision that acknowledges that the County has no moral or legal obligation to support the debt of the district but that the County retains the authority and ability to protect the County's credit.

Conditions and Covenants. Any ordinance creating a special district may include appropriate conditions related to the size and timing of District debt. In addition, the County may require covenants to be attached to the property that incorporate the salient commitments related to the proposed District improvements, the public benefits, and the special assessments.

Annual Review. These guidelines shall be reviewed at least annually.

12. Policy for Public-Private Solicitations

The Board has adopted guidelines within Article 7 of the County's Procurement Resolution to implement the Public-Private Education Facilities and Infrastructure Act of 2002, Va. Code § 56-575.1, et seq. ("PPEA"), and the Public-Private Transportation Act of 1995, Va. Code §33.2-1800, et seq. (as re-codified effective October 14, 2014, formerly codified as §56-556, et seq.) ("PPTA") (Individually an "Act"; together, the "Acts"). These guidelines apply to all procurements under the PPEA and PPTA where the County is the "responsible public entity" (RPE), the "affected jurisdiction" or the "affected locality or public entity" within the meaning of Virginia Code § 56-575.1 and Va. Code § 33.2-1800 (formally §56-557.)

Individually negotiated comprehensive agreements between private entities and the County ultimately will define the respective rights and obligations of the parties for Public-Private projects. The version of the Acts that is in effect (at the time of execution of a comprehensive agreement under procurement as to that procurement) is controlling in the event of any conflict.

The Acts allow private entities to include innovative financing methods, including the imposition of user fees or service payments, tax overlay districts, special assessment districts, land swaps, property up-zonings or TIF-like mechanisms, etc. in a proposal. However, the County reserves the right to utilize its own financing mechanism as a less costly alternative. Any/all partnership solicitations shall not have a negative impact upon the County's debt capacity or credit rating.

Any debt issued by the partnership must generally observe the County's Debt Management Policies (section #2). Solicitations wherein the County provides all or a substantial portion of the funding must include financial protections for the County as the "First Tier" lender meant to give the County first priority, ahead of other potential financial lenders, to take possession of assets or revenues in the event of a default to mitigate this risk.

Solicitations should include a "Security Reserve" that would provide immediate cash flow for the County to pay financial obligations should there be delinquency in any payments. This cash flow will supplement continued tax revenues that are collected from activities that continue to occur in the development area during any financial challenges. Any excess funds in the security reserve will be used to prepay the public investment.

A Public-Private Partnership should result in a fair contract that balances the needs of both partners while ultimately protecting the public's interest. There are six critical components of any successful partnership: political leadership, public sector involvement, comprehensive plan, dedicated income stream, stakeholder communication, and proper partner selection.

Preference will be afforded Public-Private solicitations that are fiscally prudent and in line with the Board's Vision and Strategic Goals. The petitioner must demonstrate how the solicitation will advance the County's adopted Comprehensive Plan or provide greater benefit to the ultimate property owners utilizing the proposed facilities. Public Improvements specified within the solicitation must be related to and guided by standards and policies approved by the Board as identified in the Capital Improvements Program, Capital Needs Assessment Document, or the County's adopted Capital Facility Standards.

The County is seeking private partners that will bring the best value to projects as opposed to the lowest bidder. Factors that can contribute "value" to a project include, but are not limited to: project design, project delivery schedule, use of innovation, access to expertise, project financing, risk transference and user fee schedule (if applicable) over the duration of the partnership.

The County will conduct an in-depth examination and evaluation of potential private partners and their proposed projects including, but not limited to, qualifications & experience, financial capability, references, risk transference and any litigation and/or controversy that the potential partners and their key staff members may be involved in. This information will assist the County in finding partners that are experienced and will bring the "best value" to the partnership, and ultimately the residents of Loudoun County over the course of the long-term partnership.

The County will consider the relevancy and extent of specific technical experience and expertise of the designated key staff members of the submission team, not simply the entity as a whole. The County will also analyze how this experience and expertise benefits the County and the project. Benefits of the partnership may include accelerated project delivery, greater access to technology and innovation, risk transference, alternative financing methods and cost-efficiencies that result in lower operating costs. Ultimately, the partnership must provide some measurable public benefit that the residents of Loudoun cannot access or achieve without the private partner.

A Financial Due Diligence investigation performed by the County or its agents must confirm solicitation information regarding the adequacy of the private partner's financial resources to sustain the project's proposed financing. Private partners will be required to grant full access to all accounting records, project pro formas and any other required financial information for any project involving a financial partnership with the County.

Any/all costs incurred by the County during the examination, evaluation and due diligence investigations will be advanced or reimbursed by the solicitor in accordance with the Acts.

Risk should be assigned to the partner that is best equipped to manage or prevent that risk from occurring or that is in a better position to recover the costs associated with the risk. The goal of the partnership should be to combine the best capabilities of the public and private sectors for mutual benefit. It is the intention of the County to maintain control of the asset or enterprise produced by the partnership, oversee the operation and maintenance, and regulate the amount of private involvement to protect the integrity of any public asset. The County will set the parameters and expectations for the partnership to address the public's needs. If the partnership does not live up to its contractual expectations, the County will regain ownership of the asset or enterprise system.

It should be noted that Risk is not limited to just liability but includes the assumption of responsibility for uncertainties conceptual, operational, and financial that could threaten the goals of the partnership, including, but not limited to, design and construction costs, regulatory compliance, environmental clearance, performance, and customer satisfaction.

Annual Review. These guidelines shall be reviewed at least annually.

County Funds, Fund Structure, and Basis of Budgeting

The Loudoun County Budget is organized on the basis of funds, each of which is considered a separate accounting and reporting entity. The operations of each fund are accounted for with a separate set of self-balancing accounts that comprise its revenues and expenditures or expenses where appropriate. The types of funds include Governmental Funds (General Fund, Special Revenue Fund, Debt Service Fund, and Capital Project Fund), Proprietary Funds (Central Services Fund and Self-Insurance Fund), and Fiduciary Funds (Expendable and Nonexpendable Funds and other Custodial Funds).

All Governmental Funds and Custodial Funds are accounted for using the modified accrual basis of accounting. The modified accrual basis of accounting for governmental funds uses a current financial resources measurement focus. Under modified accrual accounting, revenue is considered available when it is collectible during the current period or if the actual collection occurs after the end of the period but in time to pay current year-end liabilities. Expenditures are recorded on an accrual basis of accounting because they are measurable when they are incurred and are generally recognized at that time. Exceptions to this rule include: (1) accumulated unpaid vacation leave, sick leave, and other employee leave that are recognized when paid, and (2) principal and interest payments on general long-term debt that are also recognized when due.

The County uses the accrual basis of accounting for the Proprietary Funds, Pension Trust Funds, and Nonexpendable Trust Funds. Under this basis, revenues are recognized when they are earned, and expenses are recognized when they are incurred without regard to receipts or disbursements of cash.

Governmental Funds

Governmental Funds are those through which most governmental functions of the County are financed. The County Budget contains 32 distinct Governmental Funds. These funds reflect appropriation decisions that are generally divided into three major categories: operating, capital, and debt service. Some funds contain appropriations for a wide range of services, while others are specific to a given service or targeted geographic area. Each of these funds is reviewed and approved by the Board during their budget deliberations. Some of the funds have specific taxes attached to support them. Those taxes and rates also are reviewed and adopted by the Board. The following funds are categorized as Governmental Funds:

General Fund

This is the primary operating fund for all non-education governmental activities. It is used to account for all financial resources except those required to be accounted for in other funds. This fund contains the operating budgets for public safety, land development, general government administration, parks, libraries, and human services. The source of funding for many other governmental functions, such as education, payment of debt service, and funding of some capital projects, is usually a transfer of tax revenue from the General Fund. All tax revenues (real property tax and personal property tax revenues, as well as most other tax receipts) and most other revenues (fees, fines, charges, and grants) are budgeted and accounted for in the General Fund. Likewise, all expenditures funded by the General Fund revenues are budgeted as direct General Fund expenditures. The Board of Supervisors has direct control of the expenditures in this fund.

School Operating Fund (Component Unit)

The School Operating Fund is the primary operating fund for all education-related governmental activities. The School Fund's revenues come from a transfer from the County's General Fund, aid from the Commonwealth, aid from the federal government, and charges for services. Expenditures from this fund are used to provide instruction and support services for the School System. The School Board has direct control over appropriations and expenditure decisions within this fund. The Board of Supervisors, whose role is limited by state statute, provides a lump sum appropriation to the fund to finance the school system's operations.

Special Revenue Funds

Special revenue funds are governmental funds used to account for the proceeds of specific revenue sources (other than major capital projects) that are legally restricted to expenditures for specified purposes. These funds provide an extra level of accountability and transparency to taxpayers and others, ensuring that the funds are being used for their intended purpose. The revenue sources for these funds include writ assessments, special taxes, and other contributions.

There are several special revenue funds for which the County does not adopt a budget. These include: Federally Forfeited Property Fund, County-Wide Sewer Service District Fund, Hamilton Sewer Service District Fund, Sheriff's Fund, Animal Shelter Fund, Donation Fund, and Stormwater Maintenance Fund. The special revenue funds included in the County's Adopted Budget are detailed below.

Children's Services Act (CSA) Fund

CSA is a joint effort between the County's Government, Schools, Courts, and private sector providers of services to "at-risk" youth. Funding for the CSA program is derived from a transfer from the General Fund and aid from the Commonwealth.

Disposable Plastic Bag Tax Fund

The Disposable Plastic Bag Tax Fund is used to account for the restricted tax revenue associated with the 5-cent disposable plastic bag tax. Revenues are restricted for specific uses in accordance with the Code of Virginia.

EMS Transport Fund

The EMS Transport Fund was established to collect transport fees from any individual that is transported to a medical facility as a result of an emergency call response. These fees will reimburse the Loudoun County Combined Fire and Rescue System for the costs incurred as a result of the transport.

Housing Fund

The Housing Fund was established in August 1997 for the purpose of promoting and funding affordable housing in Loudoun County. One of the largest components of the Housing Fund is the Loudoun County Housing Trust. In addition, dedicated real property tax revenue and all cigarette tax revenue is included in the Housing Fund.

James Horton Program for the Arts Fund

The James Horton Program for the Arts Fund is used to account for monies provided by private donors, restricted to the use for funding of cultural and arts programs at the Eastern Loudoun Regional Library.

Legal Resource Center Fund

The Legal Resource Center Fund is the operating fund of the County's Law Library. The funding for this program is derived from fees derived from a court service fee and local tax funding.

Metro Garages Fund

The Metro Garages Fund was created to manage the operations of the County-owned Metro Parking Garages, located at the Loudoun Gateway and Ashburn Stations. This fund provides resources for day-to-day operations, preventative, and long-term maintenance. Funding is derived from parking garage fees and a transfer from the Transportation District Fund.

Opioid Abatement Settlement Fund

The Opioid Fund was created to manage and account for revenues received through the Virginia Opioid Abatement Settlement Fund.

Public Facilities Fund

The Public Facilities Fund accounts for monies provided by private donors and other miscellaneous sources, which are restricted to use for any public facility or service purposes.

Rental Assistance Program Fund

The Rental Assistance Program Fund was established to operate the County's rental assistance programs. These programs are funded by the federal government, with additional local tax funding provided for administrative costs.

Restricted Use Transient Occupancy Tax (TOT) Fund

The Restricted Use TOT Fund finances the promotion of tourism, travel, or businesses that generate tourism within the County. Since 1996, the Board of Supervisors has levied an additional 3 percent transient occupancy tax on hotel rooms and other places of lodging to provide funding for tourism initiatives throughout the County.

Rivana Community Development Authority (CDA) Fund

The Rivana CDA Fund was created in FY 2025 to finance public infrastructure for the Rivana at Innovation Station development without affecting the County's bond rating and fiscal health.

Route 28 Special Improvements Fund

The Route 28 Special Improvements Fund was established for the express purpose of paying the debt service on a special transportation project for Virginia Route 28. The revenue for this fund comes entirely from an add-on real property tax on land within the special district.

State and Federal Grant Fund

The State and Federal Grant Fund is used to account for competitive state and federal grants received by the County.

Transportation District Fund (TDF)

The TDF was created in FY 2013 to segregate transportation and transit related revenues and expenditures. This fund includes real property tax revenue collected in Special Tax Districts established to support Phase II of the Dulles Corridor Metrorail Project, a transfer of local tax funding from the General Fund to fulfill the County's transportation and transit spending expectations, regional gasoline tax revenue attributed to the County, and revenues derived from provisions of laws enacted by the Virginia General Assembly, including HB 2313 (2013), HB 1539 and SB 856 (2018), and SB 890 (2020).

Uran Holocaust Fund

The Uran Holocaust Fund is used to account for monies provided by a private donor, restricted to use for the purchase of educational Holocaust materials in the libraries.

School Grant Fund (Component Unit)

The School Grant Fund accounts for all federal, state, and local grants for the Loudoun County Public Schools. The primary source of revenue is the federal government.

School Nutrition Services Fund (Component Unit)

The School Nutrition Services Fund is an operating fund for the School System's food service operations. The school Board controls this account, which is funded through a portion of the lump sum transfer to the schools from the General Fund, meal charges, and contributions from the Federal and Commonwealth governments.

School Lease Fund (Component Unit)

The School Lease Fund is used to account for all lease proceeds and expenditures of the Loudoun County Public Schools.

Symington Fund

The Symington Fund is used to account for monies provided by a private donor, restricted to use only for public purposes, including construction of improvements, or purchases of books, services, and equipment in the Rust Library.

Tall Oaks Water and Sewer

The Tall Oaks Water and Sewer Fund is used to account for the proceeds from the Tall Oaks Water & Sewer taxing district that are legally restricted to expenditures for the extension of public water and sanitary sewer main lines to serve the properties of the district.

Debt Service Funds

Debt service funds are governmental funds used to account for the accumulation of resources for the payment of general long-term debt principal, interest, and other related costs. The revenues for these funds are largely provided by transfers from the General Fund.

County Debt Service Fund

The County Debt Service Fund is used for the payment of debt service, both principal and interest, of municipal debt issued to construct non-educational County facilities. Revenue sources for this fund are largely limited to transfers from the General Fund. This fund is budgeted by the Board of Supervisors and represents the long-term financing costs of projects funded in the County's Capital Improvement Program (CIP).

School Debt Service Fund

The School Debt Service Fund is a fund used for the payment of debt service, both principal and interest, on municipal debt issued for the construction and repair of County educational facilities, and the purchase of other longer-term assets, like computers. Revenue sources for this fund are largely limited to transfers from the General Fund. This fund is budgeted by the Board of Supervisors but represents the long-term financing costs of decisions made by both the Board of Supervisors and the School Board in the School's CIP, Capital Asset Replacement Fund, and School Fund.

Capital Funds

Capital funds are governmental funds used to account for the purchase and/or construction of major capital facilities that are financed primarily by bond issues, State and Federal grants, and transfers from the General Fund.

County Capital Projects Fund

The County Capital Projects Fund controls the financing and construction of most non-educational County facilities, such as parks, libraries, public safety facilities, land acquisitions, and office buildings. The Board of Supervisors approves these projects through the County's CIP. Revenue sources for this fund include transfers of local tax funding from the General

Fund, the issuance of municipal bonds (debt), and a wide variety of grants and developer contributions.

School Capital Projects Fund

The School Capital Projects Fund controls the financing and construction of local educational facilities. The Board of Supervisors approves these projects through the County's CIP, following the recommendations of the School Board. Revenue sources for this fund generally consist of a combination of transfers of local tax funding from the General Fund, the issuance of municipal bonds (debt), and/or developer contributions (proffers).

County Capital Asset Preservation Program (CAPP) Fund

The CAPP Fund controls the regular repair and replacement of most non-educational County facilities, such as parks, libraries, jails, and office buildings. The Computer Replacement Fund is a sub-fund of the CAPP fund. The approval of these projects is at the direction of the Board of Supervisors. Revenue sources for the fund include transfers of local tax funding from the General Fund and a small amount of service fee revenue collected for the renovation and repair of court facilities.

School Capital Asset Preservation Program (CAPP) Fund

The School CAPP Fund controls the regular repair and replacement of local educational facilities. The approval of these projects is at the direction of the School Board, with funding approved by the Board of Supervisors. Revenue sources for this fund include transfers of local tax funding from the General Fund and the occasional issuance of municipal debt.

Major Equipment Replacement Fund

The Major Equipment Replacement Fund was created for the purpose of allowing for the scheduled and emergency replacement of major equipment over $5,000 in value. Previously, the County funded replacement of such equipment on an as-needed basis through either allocation of local tax resources in the General Fund budget or through mid-year use of fund balance.

Capital Projects Financing Fund

The Capital Projects Financing Fund is a pass-through fund that is used to account for the issuance of general obligation bonds and transfers to the appropriate capital projects.

Proprietary Funds

Proprietary funds include enterprise funds and internal service funds. The County does not have any enterprise funds. The County's internal service funds include the Central Services Fund and the Self-Insurance Fund. The Central Services Fund, which accounts for the financing of goods and services provided between departments on a cost reimbursement basis, is not appropriated as part of the County's annual budget process.

Self-Insurance Fund

The Self-Insurance Fund accounts for the accumulation of resources to pay for claims and other expenses associated with health insurance, worker's compensation insurance, vehicle insurance, and other liability insurance.

Fiduciary Funds

Fiduciary funds are used to report assets held in a trustee or custodial capacity for individuals, private organizations, other governments, and/or other funds. The County's fiduciary funds include Nonexpendable Funds, Expendable Funds, and the Other Post-Employment Benefits (OPEB) Fund. These funds are not part of the County's annual budget appropriation.

Fund – Department Relationship (Appropriated Operating Funds)

	General Fund	CSA Fund	EMS Transport Fund	Housing Fund	Horton Program for the Arts / Uran / Symington Funds	Legal Resources Center Fund	Metro Garages Fund	Rental Assistance Program Fund	TOT Fund	State and Federal Grant Fund	Opioid Abatement Settlement Fund	Disposable Plastic Bag Tax Fund
General Government												
Board of Supervisors	x											
Commissioner of the Revenue	x											
County Administrator	x								x	x		
County Attorney	x											
Elections and Voter Registration	x											
Finance and Procurement	x											
General Services	x						x					x
Human Resources	x											
Information Technology	x											
Treasurer	x											
Public Safety and Judicial Administration												
Animal Services	x											
Clerk of the Circuit Court	x											

	General Fund	CSA Fund	EMS Transport Fund	Housing Fund	Horton Program for the Arts / Uran / Symington Funds	Legal Resources Center Fund	Metro Garages Fund	Rental Assistance Program Fund	TOT Fund	State and Federal Grant Fund	Opioid Abatement Settlement Fund	Disposable Plastic Bag Tax Fund
Commonwealth's Attorney	x											
Community Corrections	x											
Courts	x											
Fire and Rescue	x		x							x		
Juvenile Court Services Unit	x											
Sheriff	x											
Health and Welfare												
Extension Services	x											
Family Services	x	x										
Health	x											
Mental Health, Substance Abuse, and Developmental Services	x									x	x	
Parks, Recreation, and Culture												
Library Services	x				x	x						
Parks, Recreation, and Community Services	x								x			
Community Development												
Building and Development	x											
Economic Development	x								x			
Mapping and Geographic Information	x											
Planning and Zoning	x											
Transportation and Capital Infrastructure	x									x		
Housing and Community Development	x			x				x		x		

In addition to the funds shown in the above matrix, several funds support capital purchases, including the CAPP Fund, the Major Equipment Replacement Fund, the Public Facilities Fund, the Capital Projects Fund, and the Capital Projects Financing Fund. All departments of the County use these funds. Details about how these funds are used for the current fiscal year can be found in the CIP portion of this document.

Several special revenue funds were also established for specific taxing districts for various purposes, including the Transportation District Fund, Route 28 Special Improvements Fund, Rivana Community Development Authority Fund, and the Tall Oaks Water and Sewer Fund. Additional information on these funds can be found in the Other Appropriated Funds section of this document.

Capital Assets, Capitalization, and Depreciation

The standard for capitalization of tangible property is $10,000 or more per unit with an expected useful life greater than five years. Assets consisting of certain improvements other than buildings are not capitalized. In the Internal Service Fund, depreciation is computed over the estimated useful life of each asset using the straight-line method. When assets are sold or retired, their cost and related accumulated depreciation are removed from the accounts and the gains or losses are reflected on the income statement in the year the sale or retirement occurs.

Basis of Budgeting

Budgets for all funds are adopted on a basis consistent with generally accepted accounting principles applicable to governmental units. Formal budgetary integration is employed as a management control device during the year. Annual appropriations resolutions and budgets are adopted for the General, Special Revenue, and Debt Service Funds. Governmental accounting is directed toward expenditure control and budgetary compliance. The accounting system's budgetary control function is accomplished by incorporating budgetary accounts into fund ledgers and recording appropriations adopted by the County Board of Supervisors. All appropriations are legally controlled at the department level for the General Fund and Special Revenue Funds, except the School Fund. The School appropriation is determined by the County Board of Supervisors and controlled at the major category level by the general government. The adopted budget also includes a program of capital expenditures to be financed from current operations and a separate six-year capital improvement plan. All annual appropriations lapse at the end of the fiscal year, except for the Capital Project Funds and grants. The budget resolution specifies that the budget and appropriation for each grant or project continue until the expiration of the grant or completion of the project.

In most cases, the County's budget follows the same basis of accounting used in preparing the ACFR, which is prepared in accordance with Generally Accepted Accounting Principles (GAAP) as promulgated by the Government Accounting Standards Board (GASB) and the Auditor of Public Accounts of the Commonwealth of Virginia (APA). A few exceptions exist. Another difference between GAAP and the budgetary basis of accounting is the treatment of encumbrances. Encumbered amounts are treated as expenditures under the budgetary basis of accounting used by the County, while encumbrances are treated as reservations of fund balance under the GAAP basis.

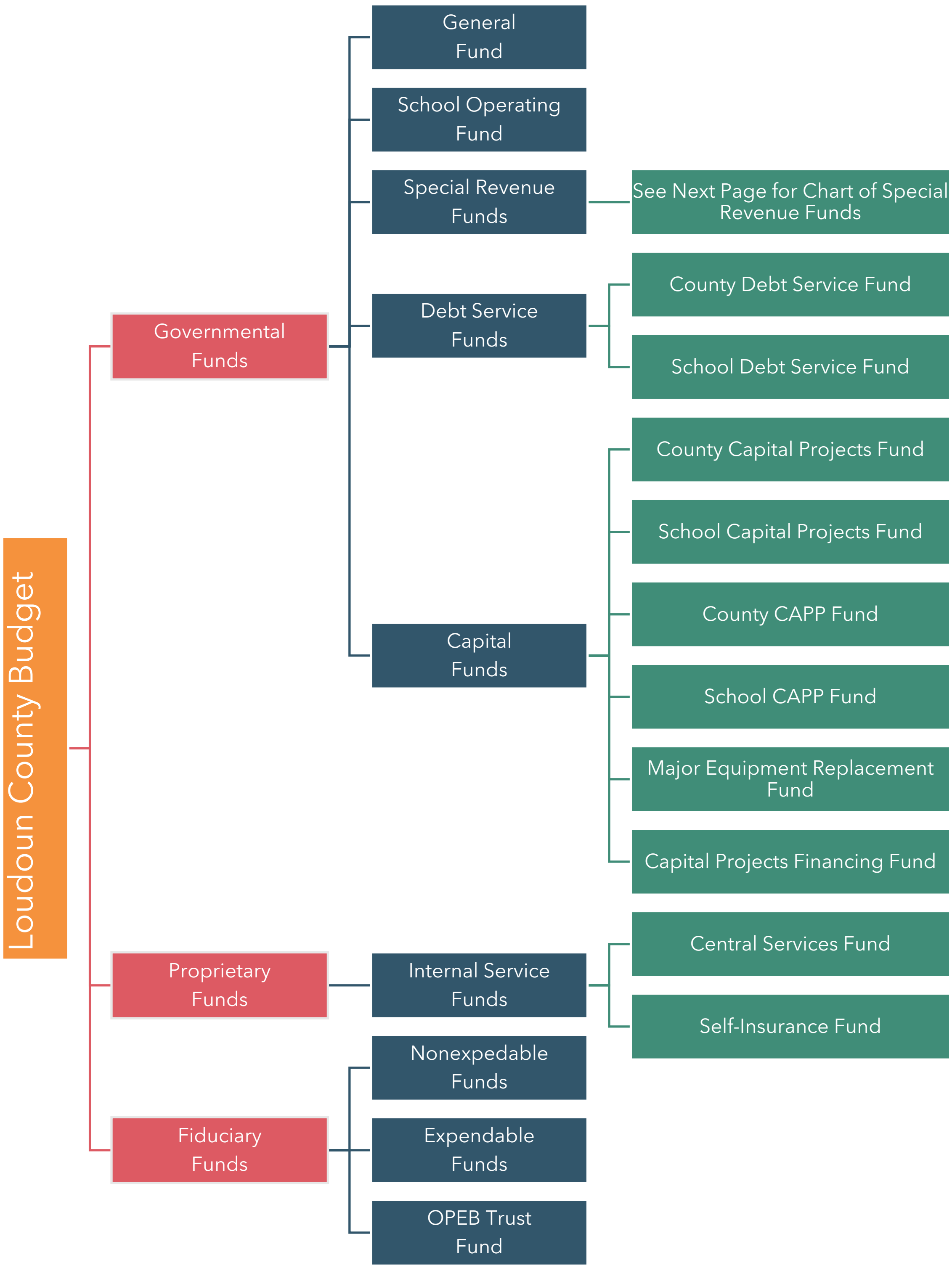
Starting with the FY 2002 ACFR, the County converted its ACFR and financial statements to comply with GASB Statement 34. As a result, the governmental fund statements in the ACFR are presented on a current financial resource and modified accrual basis of accounting. Exceptions to this rule include: (1) accumulated unpaid vacation leave, sick leave, and other employee leave, which are recorded as compensated absences and are recognized when paid, and (2) principal and interest payments on general long-term debt, both of which are recognized when paid.

In response to the reporting requirements for GASB Statement 45, Accounting and Financial Reporting by Employers for Post-employment Benefits (OPEB) Other Than Pensions, a fiduciary fund was created in FY 2009, which allows the County to budget for the annual cost of public employee non-pension benefits related to OPEB in the same manner as reporting financial information for pensions.

Budget Amendment Process

The Board of Supervisors adopts an Appropriations Resolution for each fiscal year that sets the funding levels for each fund. Authorization is given to the County Administrator to approve transfers of appropriations and estimated revenues among departments and agencies as long as the total net appropriation or estimated revenues for the fund is neither increased nor decreased. Approval by the Board of Supervisors is required for changes that affect total fund appropriations or estimated revenues. To effect a change, a budget adjustment is created. Budget adjustments that do not revise the original appropriation are approved or disapproved by the County Administrator or designee after sufficient justification for the revision to the budget has been received. The County Administrator presents budget adjustments that change appropriations or estimated revenues at the fund level to the Board of Supervisors for consideration and approval.

Fund Structure – Appropriated Funds



- Loudoun County Budget
  - Governmental Funds
    - Special Revenue Funds*
      - Affordable Housing Fund
      - CSA Fund
      - Donation Fund
      - EMS Transport Fund
      - Horton Program for the Arts Fund
      - Legal Resources Center Fund
      - Metro Garages Fund
      - Opioid Fund
      - Plastic Bag Tax Fund
      - Public Facilities Fund
      - Rental Assistance Program Fund
      - Rivana Community Development Fund
      - Route 28 Special Improvements Fund
      - State and Federal Grant Fund
      - Symington Fund
      - Tall Oaks Water and Sewer Fund
      - TOT Fund
      - TDF
      - Uran Holocaust Fund
      - School Grant Fund
      - School Nutrition Services Fund
      - School Lease Fund

* There are several special revenue funds for which the County does not adopt a budget. This includes: Federally Forfeited Property Fund, County-Wide Sewer Service District Fund, Hamilton Sewer Service District Fund, Sheriff's Fund, Animal Shelter Fund, Donation Fund, and Stormwater Maintenance Fund. These are not shown here.

FY 2027 Appropriations Resolution

The FY 2027 Appropriations Resolution was adopted by the Board of Supervisors at its Business Meeting on April 7, 2026 (Item V).

A RESOLUTION TO APPROPRIATE DESIGNATED FUNDS AND ACCOUNTS FROM DESIGNATED ESTIMATED REVENUES FOR THE FUNDS DELINEATED ON THE FOLLOWING PAGES OF THIS DOCUMENT FOR THE COUNTY OF LOUDOUN

BE IT RESOLVED by the Board of Supervisors of the County of Loudoun, Virginia, that the following appropriations be, and the same hereby are, made for Fiscal Year 2027 (beginning on the first day of July 2026 and ending on the thirtieth day of June 2027) from the funds and for the purposes indicated on the following pages unless the Board of Supervisors amends this resolution on or before June 30, 2026.

BE IT FURTHER RESOLVED that not more than $1,484,949,364 of the appropriation to the Loudoun County Public Schools Fund shall be obtained from funds derived from local property taxes and other local revenues of the General Fund of the County without a supplemental resolution by the Board of Supervisors. These funds will be available for transfer on July 1, 2026.

General Fund

ESTIMATED REVENUE	
Local, State, and Federal Sources	
General Property Taxes	$2,677,736,100.54
Other Local Taxes	$229,258,300.00
Permits Privilege Fees And Regulatory Licenses	$26,771,860.66
Fines And Forfeitures	$1,514,700.00
Revenue From Use Of Money And Property	$56,655,864.53
Charges For Services	$52,802,932.00
Miscellaneous Revenue	$369,400.00
Recovered Costs	$12,201,271.00
Intergovernment - Commonwealth	$111,496,240.49
Intergovernment - Federal	$12,932,483.01
SUBTOTAL - LOCAL, STATE, AND FEDERAL SOURCES	**$3,181,739,152.23**
Transfers From Other Funds	
Disposable Plastic Bag Tax Fund	$504,178.00
EMS Transport Reimbursement Program Fund	$1,247,075.00
Restricted Use Transient Occupancy Tax Fund	$727,963.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$2,479,216.00**
Use of Fund Balance	**$34,000,000.00**
TOTAL REVENUE	**$3,218,218,368.23**

APPROPRIATIONS	
Initial Appropriations	$1,140,347,426.14
Payments To Other Entities	
Loudoun County Public Schools	$1,538,079,364.00
Transfers To Other Funds	
Children's Services Act Fund	$3,690,067.00
County Capital Asset Preservation Program Fund	$56,307,277.00
County Capital Projects Fund	$142,467,230.78
County Debt Service Fund	$258,795,902.31
Housing Fund	$25,980,858.00
Legal Resources Center Fund	$124,881.00
Major Equipment Replacement Fund	$5,500,000.00
Rental Assistance Program Fund	$272,390.00
Rivana Community Development Authority Fund	$852,972.00

Self Insurance Fund	$7,000,000.00
Transportation District Fund	$38,800,000.00
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$539,791,578.09**

TOTAL APPROPRIATIONS	**$3,218,218,368.23**

Loudoun County Public Schools

Operating Fund

ESTIMATED REVENUE	
Local, State, and Federal Sources	
Charges for Service	$12,737,188.00
Commonwealth	$553,013,742.00
Federal	$4,254,374.00
SUBTOTAL - LOCAL, STATE, AND FEDERAL SOURCES	**$570,005,304.00**
Payments from Other Entities	
County General Fund	$1,472,949,364.00
OPEB Contribution	$12,000,000.00
SUBTOTAL - PAYMENTS FROM OTHER ENTITIES	**$1,484,949,364.00**
Use of Fund Balance	**$12,000,000.00**
TOTAL REVENUE	**$2,066,954,668.00**
INITIAL APPROPRIATION	**$2,066,954,668.00**

Grant Fund

ESTIMATED REVENUE	**$34,467,146.00**
INITIAL APPROPRIATION	**$34,467,146.00**

School Nutrition Fund

ESTIMATED REVENUE	
Estimated Revenue	**$47,683,576.00**
Use of Fund Balance	**$6,885,638.00**
TOTAL REVENUE	**$54,569,214.00**
INITIAL APPROPRIATION	**$54,569,214.00**

Lease Purchase Fund

ESTIMATED REVENUE	**$10,002,000.00**
INITIAL APPROPRIATION	**$10,002,000.00**

School Capital Projects Fund

ESTIMATED REVENUE	
Payments From Other Entities	
Capital Projects Financing Fund	$71,170,000.00
SUBTOTAL - PAYMENTS FROM OTHER ENTITIES	**$71,170,000.00**
TOTAL REVENUE	**$71,170,000.00**
INITIAL APPROPRIATION	**$71,170,000.00**

School Capital Asset Preservation Program Fund

ESTIMATED REVENUE	
Payments From Other Entities	
County General Fund	$53,130,000.00
SUBTOTAL - PAYMENTS FROM OTHER ENTITIES	**$53,130,000.00**
TOTAL REVENUE	**$53,130,000.00**
INITIAL APPROPRIATION	**$53,130,000.00**

School Debt Services Fund - Leases

ESTIMATED REVENUE	
Payments From Other Entities	
County Debt Service Fund	$10,938,882.00
SUBTOTAL - PAYMENTS FROM OTHER ENTITIES	**$10,938,882.00**
TOTAL REVENUE	**$10,938,882.00**
INITIAL APPROPRIATION	**$10,938,882.00**

Capital Funds

County Capital Projects Fund

ESTIMATED REVENUE	
Estimated Revenue	**$55,441,613.00**
Transfers From Other Funds	
Capital Projects Financing Fund	$429,713,783.07
County General Fund	$142,467,230.78
Public Facilities Fund	$8,338,410.92
Transportation District Fund	$85,054,352.48
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$665,573,777.25**
TOTAL REVENUE	**$721,015,390.25**

APPROPRIATIONS	
Initial Appropriation	**$717,428,065.25**
Transfers To Other Funds	
County Debt Service Fund	$3,587,325.00
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$3,587,325.00**
TOTAL APPROPRIATIONS	**$721,015,390.25**

County Capital Asset Preservation Program Fund

ESTIMATED REVENUE	
Estimated Revenue	**$100,000.00**
Transfers From Other Funds	
Capital Projects Financing Fund	$25,906,000.00
County General Fund	$56,307,277.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$82,213,277.00**
TOTAL REVENUE	**$82,313,277.00**
INITIAL APPROPRIATION	**$82,313,277.00**

Capital Projects Financing Fund

ESTIMATED REVENUE	$541,789,783.07

APPROPRIATIONS	
Payments To Other Entities	
Loudoun County Public Schools	$71,170,000.00
SUBTOTAL - PAYMENTS TO OTHER ENTITIES	**$71,170,000.00**

Transfers To Other Funds	
County Capital Projects Fund	$429,713,783.07
County Capital Asset Preservation Program Fund	$25,906,000.00
Major Equipment Replacement Fund	$15,000,000.00
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$470,619,783.07**
TOTAL APPROPRIATIONS	**$541,789,783.07**

Major Equipment Replacement Fund

ESTIMATED REVENUE	
Transfers From Other Funds	
Capital Projects Financing Fund	$15,000,000.00
County General Fund	$5,500,000.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$20,500,000.00**
TOTAL REVENUE	**$20,500,000.00**
INITIAL APPROPRIATION	**$20,500,000.00**

Public Facilities Fund

ESTIMATED REVENUE	**$16,255,091.40**
APPROPRIATIONS	
Transfers To Other Funds	
County Capital Projects Fund	$8,338,410.92
Transportation District Fund	$7,916,680.48
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$16,255,091.40**
TOTAL APPROPRIATIONS	**$16,255,091.40**

Transportation District Fund

ESTIMATED REVENUE	
Estimated Revenue	**$137,172,283.00**
Transfers From Other Funds	
County General Fund	$38,800,000.00
Public Facilities Fund	$7,916,680.48
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$46,716,680.48**

TOTAL REVENUE	**$183,888,963.48**

APPROPRIATIONS	
Initial Appropriation	**$32,703,584.00**
Transfers To Other Funds	
County Capital Projects Fund	$85,054,352.48
County Debt Service Fund	$21,748,673.00
Metro Garages Fund	$2,126,027.00
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$108,929,052.48**
Addition to Fund Balance	**$42,256,327.00**
TOTAL APPROPRIATIONS	**$183,888,963.48**

Debt Funds

County Debt Service Fund

ESTIMATED REVENUE	
Estimated Revenue	**$1,399,625.00**
Transfers From Other Funds	
County Capital Projects Fund	$3,587,325.00
County General Fund	$258,795,902.31
Transportation District Fund	$21,748,673.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$284,131,900.31**
Use of Fund Balance	**$10,000,000.000**
TOTAL REVENUE	**$295,531,525.31**

INITIAL APPROPRIATION	
Initial Appropriation	$284,592,643.31
Payments to Other Entities	
Loudoun County Public Schools	$10,938,882.00
SUBTOTAL - PAYMENTS TO OTHER ENTITIES	**$10,938,882.00**
TOTAL APPROPRIATIONS	**$295,531,525.31**

Route 28 Special Improvements Fund

ESTIMATED REVENUE	**$32,314,000.00**

INITIAL APPROPRIATION	**$32,314,000.00**

Tall Oaks Water and Sewer Fund

ESTIMATED REVENUE	**$60,572.00**
INITIAL APPROPRIATION	**$60,572.00**

Other Operating Funds

Children's Services Act Fund

ESTIMATED REVENUE	
Estimated Revenue	**$5,726,941.00**
Transfers From Other Funds	
County General Fund	$3,690,067.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$3,690,067.00**
Use of Fund Balance	**$914,428.00**
TOTAL REVENUE	**$10,331,436.00**
INITIAL APPROPRIATION	**$10,331,436.00**

Disposable Plastic Bag Tax Fund

ESTIMATED REVENUE	**$815,000.00**
APPROPRIATION	
Initial Appropriation	**$310,822.00**
Transfers To Other Funds	
County General Fund	$504,178.00
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$504,178.00**
TOTAL APPROPRIATION	**$815,000.00**

EMS Transport Reimbursement Program Fund

ESTIMATED REVENUE	**$9,000,000.00**
APPROPRIATION	
Initial Appropriation	**$7,198,318.10**

Transfers To Other Funds	
County General Fund	$1,247,075.00
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$1,247,075.00**
Addition to Fund Balance	**$554,606.90**
TOTAL APPROPRIATION	**$9,000,000.00**

Housing Fund

ESTIMATED REVENUE	
Estimated Revenue	**$8,022,500.00**
Transfers From Other Funds	
County General Fund	$25,980,858.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$25,980,858.00**
TOTAL REVENUE	**$34,003,358.00**

APPROPRIATION	
Initial Appropriation	**$4,022,500.00**
Addition to Fund Balance	**$29,980,858.00**
TOTAL APPROPRIATION	**$34,003,358.00**

James Horton Program for the Arts Fund

ESTIMATED REVENUE	**$1,000.00**
INITIAL APPROPRIATION	**$1,000.00**

Legal Resource Center Fund

ESTIMATED REVENUE	
Estimated Revenue	**$58,445.00**
Transfers From Other Funds	
County General Fund	$124,881.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$124,881.00**
TOTAL REVENUE	**$183,326.00**

INITIAL APPROPRIATION	**$183,326.00**

Metro Garages Fund

ESTIMATED REVENUE	
Estimated Revenue	**$1,318,850.00**
Transfers From Other Funds	
Transportation District Fund	$2,126,027.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$2,126,027.00**
TOTAL REVENUE	**$3,444,877.00**
INITIAL APPROPRIATION	**$3,444,877.00**

Opioid Abatement Settlement Fund

ESTIMATED REVENUE	**$187,651.00**
INITIAL APPROPRIATION	**$187,651.00**

Rental Assistance Program Fund

ESTIMATED REVENUE	
Estimated Revenue	**$16,043,671.00**
Transfers From Other Funds	
County General Fund	$272,390.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$272,390.00**
TOTAL REVENUE	**$16,316,061.00**
INITIAL APPROPRIATION	**$16,316,061.00**

Restricted Use Transient Occupancy Tax Fund

ESTIMATED REVENUE	**$5,280,000.00**
APPROPRIATION	
Initial Appropriation	**$4,155,000.00**
Transfers To Other Funds	

County General Fund	$727,963.00
SUBTOTAL - TRANSFERS TO OTHER FUNDS	**$727,963.00**
Addition to Fund Balance	**$397,037.00**
TOTAL APPROPRIATION	**$5,280,000.00**

Rivana Community Development Authority Fund

ESTIMATED REVENUE	
Estimated Revenue	**$229,713.00**
Transfers From Other Funds	
County General Fund	$852,972.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$852,972.00**
TOTAL REVENUE	**$1,082,685.00**
INITIAL APPROPRIATION	**$1,082,685.00**

Self-Insurance Fund

ESTIMATED REVENUE	
Transfers From Other Funds	
County General Fund	$7,000,000.00
SUBTOTAL - TRANSFERS FROM OTHER FUNDS	**$7,000,000.00**
TOTAL REVENUE	**$7,000,000.00**
INITIAL APPROPRIATION	**$7,000,000.00**

State and Federal Grant Fund

ESTIMATED REVENUE	**$5,173,409.00**
INITIAL APPROPRIATION	**$5,173,409.00**

Symington Fund

ESTIMATED REVENUE	**$60,000.00**
INITIAL APPROPRIATION	**$60,000.00**

Uran Holocaust Library Fund

ESTIMATED REVENUE	
Use of Fund Balance	**$30,000.00**
TOTAL REVENUE	**$30,000.00**
INITIAL APPROPRIATION	**$30,000.00**

Section 1. The preceding designated funds and accounts shall be appropriated from the designated estimated revenues to be expended by the County Administrator or designee, and the Director of Finance and Procurement or designee, authorized pursuant to Section 15.2-1541 of the 1950 Code of Virginia, as amended, and pursuant to a resolution adopted by the Board of Supervisors on July 1, 1963, as amended, to pay all normal and routine claims, when presented, for which appropriations are hereinafter made, with the County's own check signed by the County Administrator and the Treasurer or with electronic fund transfers authorized by the Director of Finance and Procurement or designee and the Treasurer.

School Fund appropriations are for the operation of the School System and are to be expended on order of the School Board for the activities and purposes contained in its budget request presented to the Board of Supervisors for informative and fiscal planning purposes only. All payments are to be made on the School Board's own check or with electronic fund transfers as provided herein. The County Administrator or designee and the Director of Finance and Procurement or designee are authorized pursuant to Section 15.2-1541 of the Code of Virginia, as amended, and pursuant to a resolution adopted by the Board of Supervisors on July 1, 1963, and on December 20, 1982, as amended, to pay all claims against the School Board, once approved by the School Board, for which appropriations have been made, with a School Board check signed by the School Superintendent and the Treasurer or with electronic fund transfers approved by the Treasurer.

Section 2. All outstanding operating encumbrances on June 30, 2026, are hereby re-appropriated to the 2027 fiscal year to the same department and account for which they were encumbered in the previous year. The re-appropriation of these funds is in addition to the appropriations listed in this Appropriations Resolution.

All reappropriated encumbered funds are monitored and may be lowered throughout the fiscal year. At that time, appropriations will be reduced by the amount of the decrease or cancellation of the reappropriated encumbrance.

Section 3. At the close of the fiscal year, all unencumbered appropriations lapse for budget items other than capital projects, state and federal grants, and certain restricted funds (such as the Transportation District Fund and the Restricted Transient Occupancy Tax Fund).

Section 4. Appropriations designated for capital projects, unexpended as of June 30, 2026, are hereby reappropriated for those projects. The re-appropriation of these funds is in addition to the appropriations listed in this Appropriations Resolution. All unexpended school land acquisition funds designated for capital projects are hereby re-appropriated to the school land acquisition accounts to be held by the County for their designated purpose, if applicable. The County Administrator or designee may approve necessary adjustments or accounting transfers between funds as required for the proper accounting of capital projects. Upon completion of a County capital project, staff is authorized to close out said project, move remaining non-restricted revenue, including local tax funding, to the CIP Contingency account, and transfer the remaining restricted revenue to its original source. This section applies to all existing appropriations for capital projects on June 30, 2026, and appropriations for capital projects in the FY 2027 budget.

Actual sources of funding for capital projects are preliminary and subject to change by the Board of Supervisors in the future.

Section 5. The approval by the Board of Supervisors of any grant of funds to the County constitutes the appropriation of both the revenue to be received from the grant and the County's expenditure required by the terms of the grant, if any. Grant appropriations unexpended as of June 30, 2026, are hereby re-appropriated for those purposes. The re-appropriation of these funds is in addition to the appropriations listed in this Appropriations Resolution. The County Administrator may reduce any grant appropriation to the level approved by the granting agency during the fiscal year. Upon completion of the grant project, staff are authorized to close out the grant and transfer back to the funding source any remaining balances. This applies to appropriations for grants outstanding on June 30, 2026, and appropriations of grants in the FY 2027 budget.

Section 6. The County Administrator is authorized to make expenditures from Trust and Custodial Funds for the specified reasons for which the funds were established. In no case shall the expenditure exceed the available balance for the fund.

Section 7. Effective upon adoption of this resolution, the County Administrator or designee is authorized to approve transfers of appropriations among departments, agencies, and projects if the total net appropriation for the fund is neither increased nor decreased, consistent with established internal procedures and County fiscal policy. The County Administrator or designee is authorized to approve transfers of estimated revenue among departments, agencies, and projects if total net revenue is neither increased nor decreased at the level of the fund.

Section 8. The Director of Finance and Procurement or designee is authorized to make transfers to various funds for which there are transfers appropriated or adjustments as required at the end of the fiscal year. The Director of Finance and Procurement or designee shall transfer funds only as needed up to amounts appropriated, required, or in accordance with any existing bond resolutions that specify the manner in which transfers are to be made.

Section 9. The County Administrator is authorized to implement "State Employee Pay Supplements," which provide additional salary amounts to state employees working in the County pursuant to the Code of Virginia. Pay supplements shall be periodically reviewed and may be increased, decreased, or eliminated subject to annual appropriation by the Board of Supervisors and review by the Department of Human Resources and the Office of the County Attorney, and as may be provided within an existing or future Memorandums of Understanding (MOU) between the County and the applicable agency (or agencies) of the Commonwealth. The County Administrator is authorized to execute MOUs, after proper review of the County Attorney and other departments, as necessary

Section 10. A 2 percent salary range increase to the general workforce open range pay plan, a 5.75 percent salary scale increase to the Sheriff's Office grade and step pay plan, and a 2.5 percent salary scale increase to the Fire and Rescue grade and step pay plan will be effective no earlier than July 2, 2026.

A 4.25 percent merit increase will be effective no earlier than September 10, 2026, for regular eligible general workforce County employees who achieve a rating of "fully successful" or higher on their annual performance appraisals. Regular eligible uniformed Fire and Rescue and sworn Sheriff's Office employees on grade and step plans who achieve a "fully successful" or higher rating on their annual performance appraisals shall be granted a one-step merit increase effective no earlier than September 10, 2026. Eligible regular employees in the Fire and Rescue bargaining unit who are on the general workforce pay plan, and who achieve a "fully successful" or higher rating on their annual performance appraisals, will receive a 5.5 merit increase effective no earlier than September 10, 2026.

Adjustments to specialty pay for the Sheriff's Office effective no earlier than July 2, 2026 will include an increase in the Field Training Officer (FTO) stipend to $4.00 per hour, an increase in Canine Handler pay to one (1) hour of overtime per day, and an increase to the clothing allowance to $2,000 per year.

The County Attorney will receive a salary adjustment at the same time as County employees that will result in an annualized salary of $395,200. The County Attorney will receive a $20,000 contribution to a deferred compensation plan ("County of Loudoun, VA Executive 401(a) Plan") for FY 2027, to be deposited in twenty-four equal payments. This contribution is an ongoing benefit intended to be provided on an annual basis.

The County Administrator will receive a salary adjustment at the same time as County employees that will result in an annualized salary of $410,800. The County Administrator will receive a $36,000 contribution to a deferred compensation plan ("County of Loudoun, VA Executive 401(a) Plan") for FY 2027 to be deposited in twenty-four equal payments. This contribution is an ongoing benefit intended to be provided on an annual basis.

Constitutional Officers will receive a 4.25 percent compensation increase for FY 2027. Any pay increases provided by the State to the Constitutional Officers in FY 2027 will offset the merit-based salary increases provided by the County to ensure the combination of State and County salary increases does not exceed 4.25 percent in FY 2027. The General Registrar will be treated as a Constitutional Officer for the purposes of administering salary increases for FY 2027. Compensation increases for Constitutional Officers will be provided in accordance with the County Human Resources Handbook, Chapter 5.11, Constitutional Officer Pay.

Section 11. The County Administrator or designee is authorized to approve the appropriation and transfer of calculated "buy-out" amounts and any accrued interest in the Public Facilities Fund to the Route 28 Special Improvements Fund for the purpose of remitting the "buy-out" amounts received according to the Route 28 Special Tax District Contract. The County Administrator is only authorized to approve the appropriation and transfer of calculated "buy-outs" after the Board of Supervisors approves a change in zoning classification allowing a residential use within the Route 28 Highway Transportation Improvement District, which triggers the payment of a "buy-out" amount representing the present value of the future special improvements taxes to be lost as a result of such zoning changes.

Section 12. After the close of the FY 2026, Loudoun County Public Schools is authorized to transfer unexpended and unencumbered funds to the LCPS Self-Insurance Fund in an amount of up to two months of FY 2026's self-insurance claims expenditures should the combined amount of Self-Insurance Fund balance, including reserves in that fund, fall below two months of FY 2026's self-insurance claims expenditures. Notwithstanding the foregoing, in no event shall the transfer of unexpended and unencumbered FY 2026 funds to the LCPS Self-Insurance Fund cause the combined amount of Self-Insurance Fund balance, including reserves in that fund, to exceed two months of FY 2026's self-insurance claims expenditures.

Changes from Proposed to Adopted

During budget deliberations, the Board adopted changes to the County Administrator's FY 2027 Proposed Budget that resulted in a cumulative decrease in overall expenditures/transfers of approximately $1.5 million. Following the changes noted below, an unallocated balance of $37,518 remains in the FY 2027 Adopted Budget. These actions resulted in a Tax Year (TY) 2026 real estate tax rate of $0.805 per $100 of assessed value, a TY 2027 general personal property tax rate of $4.15 per $100 of assessed value, and a TY 2027 vehicle personal property tax rate of $2.94 per $100 of assessed value.

Action	Impact
Miscellaneous	
Reduce the Tax Year 2027 personal property tax rate on vehicles from $3.00 to 2.94.[1]	$1,470,000
Community Development	
Remove the proactive zoning enforcement resource request in the Department of Planning and Zoning and add the senior planner request.	($250,816)
Add one transportation planning senior traffic engineer in the Department of Transportation and Capital Infrastructure.	$170,843
Add the zoning enforcement positions resource request in the Department of Planning and Zoning.	$422,829
Add the housing choice voucher (HCV) administrative assistant request in the Department of Housing and Community Development.	$98,095
General Government	
Add the public works staff resource request in the Department of General Services request.	$384,527
Add the learning and development supervisor request to the Office of the County Administrator.	$164,803
Health and Welfare	
Add the community health worker and supervisor resource request in the Health Department.	$246,214
Parks, Recreation, and Culture	
Add funding for the Internal Operations Support request in the Department of Parks, Recreation, & Community Services (PRCS).	$439,646

[1] Excluded from calculations here of net expenditure/transfer decrease as the aggregate decrease reflected in the rows above this entry is used to drive down the TY 2027 vehicle personal property tax rate from 3.00 per $100 as planned in the County Administrator's FY 2027 Proposed Budget to 2.94 per $100.

Action	Impact
Public Safety	
Remove the School Resource Officers-Elementary Schools Phase 1 request from the Loudoun County Sheriff's Office.	($5,317,409)
Add a School Resource Officer Floater group and request to the Loudoun County Sheriff's Office.	$1,824,292
Add funding to cover the full cost of an attorney position for the Loudoun County Public Defender's Office and direct staff to work with the Virginia Indigent Defense Commission (VIDC) to incorporate this position into the existing County-VIDC memorandum of understanding.	$211,013
Add funding for the judicial administration and client services request to the Clerk of the Circuit Court.	$98,445